

AKP Group Interview: Graduation research insights. Richard Arundel (Group Managing Director) 21 april

Tue, 21 Apr 26

APK Group Operations & Structure

- Vertically integrated potato supply chain under Richard Arundel (Group Managing Director)
- Seed potato production → own growing + 160-170 contract growers → 160-170k tons annually
- Three market sectors: crisp, french fry, fresh market
- 50k tonnes in cold storage facilities across multiple UK locations
- Retailer-specific supply chains (Tesco, Morrisons, Sainsbury operate separately)

Operational Complexity & Critical Challenges

- Stock management most complex area currently
 - Grading seed into different size fractions for sales/growing plans
 - Real-time stock control across distributed cold storage
 - Quality maintenance during storage periods
- High-stakes delivery economics: €350/ton contract delivery vs €50/ton missed delivery
- Poor stock control leading to quality loss for intended markets
- Manual processes creating frequent errors and workload pressure

Technology Infrastructure & Gaps

- Core ERP landscape built around Microsoft Dynamics / Navision
 - Used mainly for accounting and a bespoke trading module covering buy/sell transactions, transport handling, and margin reporting
- Richard indicated that competitors also use ERP systems
 - Greenvale was mentioned specifically as using Microsoft Dynamics
 - Other larger competitors are also understood to use some form of ERP system
- Separate specialist systems sit around the ERP core:

- Seed stock management
- Quality control
- Seed purchase order processing
- Critical gap: Stock management is still handled manually through many spreadsheets
- Integration challenge: Exporting data from Dynamics into spreadsheets works well, but loading data back in from specialist/manual systems is still not solved
- Successful internal use of Google AppSheet for transport management
 - Used for driver/load instructions and paperwork reduction
 - Data can download directly into Navision for invoicing

Brexit Market Impact

- Import/export business collapsed to 10-15% of pre-Brexit volumes
- Cost increase: €50-70/ton to €120/ton due to administration/transport barriers
- Strategic pivot: Increased UK salad potato growing with long-term cold storage
- Market consolidation trend: “Everything gets in fewer and fewer hands”

System Selection Criteria & Market Context

- Seamless integration with existing systems paramount
- Bespoke customization capability essential
- Internal IT skills shortage in agri-marketing sector
- Microsoft Gold partner support model preferred
- Competitors (Greenvale, others) using similar Microsoft Dynamics setups
- Need for dedicated systems engineer role but cost prohibitive for smaller operations

Sector Context & Market Structure

- Sector characterized by many small family businesses facing similar systems and integration challenges
- Industry is less sophisticated digitally than large corporates, but gradually progressing toward better integration
- Ongoing market consolidation in the UK potato sector, with more volume concentrated in fewer hands
- Major market participants mentioned: McCain, Branston Potatoes, Greenvale, Albert Bartlett
- Lamb Weston identified as a major customer within Richard’s network and an example of a more responsive industry player

Chat with meeting transcript: <https://notes.granola.ai/t/910c7ec3-a53f-4d17-9f53-16e54dcad05e-00best9l>

Samenvatting Ritchie:

APK Group is volgens Richard Arundel een verticaal geïntegreerde speler in de aardappelketen. Het bedrijf produceert pootaardappelen, teelt zelf consumptieaardappelen en werkt daarnaast met een netwerk van telers. In het gesprek gaf hij aan dat de productie uit de eigen teelt en de telersbasis samen uitkomt op ongeveer **160.000 tot 170.000 ton per jaar**. Deze productie gaat naar drie hoofdmarkten: de **crispsector**, de **frietsector** en de **versmarkt**. De grootste operationele complexiteit ligt volgens hem in de combinatie van voorraadbeheer, kwaliteitsbehoud en de afstemming tussen productie, opslag en afzet. Pootgoed moet worden gesplitst in verschillende maatfracties voor verkoop- en teeltplannen, terwijl consumptieaardappelen op meerdere locaties in gekoelde opslag liggen. Daarbij moet continu worden bewaakt of voorraad, kwaliteit en bestemming nog passen bij de specificaties van klant en markt.

Volgens Richard is voorraadbeheer op dit moment het meest complexe onderdeel van de operatie. Hij noemde onder meer de grading van pootgoed, de verdeling van voorraden over verschillende stromen en het bewaken van kwaliteit tijdens opslag als belangrijke uitdagingen. Ook gaf hij aan dat slecht voorraadbeheer directe gevolgen kan hebben voor de uiteindelijke marktbestemming van een partij. Als voorbeeld noemde hij dat het verschil tussen correcte levering onder contract en het niet halen van die markt ongeveer **€350 per ton tegenover €50 per ton** kan bedragen. Hij koppelde dit direct aan het belang van betrouwbare en zichtbare informatie binnen het bedrijf.

Het huidige systeemlandschap van APK Group is opgebouwd rond **Microsoft Dynamics / Navision**, maar volgens Richard wordt dit vooral gebruikt voor de **accountingkant** en voor een **op maat gemaakte handelsmodule** voor koop-verkooptransacties, transportafhandeling en magerapportages. Daaromheen draaien meerdere aparte specialistische systemen, onder meer voor **pootgoedbeheer, kwaliteitscontrole en pootgoedorders**. Voorraadbeheer gebeurt volgens hem nog grotendeels handmatig via veel spreadsheets. Data uit Dynamics halen voor analyse verloopt goed, maar het terugbrengen van informatie uit specialistische of handmatige systemen naar Dynamics is nog niet goed opgelost. Integratie tussen systemen is daardoor een belangrijk aandachtspunt. Tegelijk gaf hij aan dat APK Group intern ook successen heeft geboekt met **Google AppSheet**, onder meer voor transportplanning,

chauffeursinstructies en het verminderen van papierstromen, waarbij gegevens uiteindelijk kunnen doorstromen naar Navision voor facturatie.

Richard beschreef de impact van **Brexit** als groot, vooral voor import- en exportactiviteiten. Hij gaf aan dat APK Group eerder meer handelde in aardappelen uit onder meer **Frankrijk en Spanje**, en noemde daarnaast ook stromen vanuit **België en Nederland/Holland** richting het VK. Door extra administratie, papierwerk en transportproblemen zijn de kosten volgens hem gestegen van ongeveer **€50–70 per ton naar circa €120 per ton**. Het import- en exportvolume ligt daardoor volgens hem nog maar op ongeveer **10 tot 15 procent van het niveau van vóór Brexit**. Als reactie daarop is de markt zich gaan aanpassen, bijvoorbeeld door meer **salad potatoes** in het VK zelf te telen en deze langer in gekoelde opslag te houden. Vanuit handels- en exportperspectief heeft Brexit het zakendoen volgens hem duidelijk moeilijker gemaakt.

Bij systeemkeuzes is voor APK Group volgens Richard vooral van belang dat nieuwe oplossingen **naadloos aansluiten op bestaande systemen**, voldoende **maatwerk** mogelijk maken en praktisch uitvoerbaar zijn binnen de organisatie. Hij gaf aan dat er veel systemen bestaan voor afzonderlijke onderdelen van het proces, maar dat de echte uitdaging zit in het laten samenwerken van die systemen. Ook benoemde hij dat bedrijven in deze sector vaak beperkt zijn in hun **interne IT- en systeemcapaciteit**, wat verdere digitalisering lastiger maakt. In de markt gebruiken concurrenten volgens hem eveneens ERP-systemen; **Greenvale** noemde hij expliciet als een partij die ook **Microsoft Dynamics** gebruikt. Breder schetste hij een sector van relatief veel **kleinere familiebedrijven** die met vergelijkbare integratie- en systeemproblemen te maken hebben, terwijl de markt tegelijkertijd consolideert en steeds meer volume in minder handen terechtkomt. Hierdoor komt APK Group naar voren als een bedrijf met een complexe, operationeel intensieve keten, waarin **voorraadbeheersing, kwaliteitsborging en systeemintegratie** direct samenhangen met leverbetrouwbaarheid en rendement.

Meeting Title: AKP Group Interview: Graduation research insights. Richard Arundel
(Group Managing Director) 21 april

Date: Apr 21

Meeting participants: Ritchieolthuis

Transcript:

Speaker A: Sa.

Speaker B: See it. Hello. It.

Speaker A: And I will catch up with you again.

Speaker B: Hello.

Speaker A: Hi, good afternoon. Sorry, I'm just coming out of one meeting into. Into. Into another.

Speaker B: That's not. Thank you for your attendance, Mr. Arundel.

Speaker A: No, no problem. Tell me how I can help.

Speaker B: Should I introduce myself?

Speaker A: Yeah, yeah, yeah, yeah. Tell me a little bit about the background and what you, what you. What you're on with and then we'll go from there. Yeah.

Speaker B: Okay. So my name is Richie. I'm currently conducting graduation research at Exelio. Yeah, I'm a student at University of Windesheim in the Netherlands and I'm researching the Axelio agri and food sector. So I'm really thankful that you completed the questionnaire and I've prepared some questions based on that questionnaire to keep this a short conversation.

Speaker A: Yeah. What's your degree? What's your subject?

Speaker B: I'm studying marketing. Kind of like we call it Commercial economics. Yeah, it's sort of business administration. Marketing, sort of.

Speaker A: Yeah, yeah, yeah, yeah. So my education, that's what I did European business with French and Spanish. So. Yeah, yeah, yeah. Very good.

Speaker B: Yeah. So should we start with questions?

Speaker A: Yeah, yeah, sure.

Speaker B: So I will read it off the screen because I've prepared it based on. To keep it short based on your answers. Yeah, I'm sorry if I come off as a bit unprofessional by doing so, but as you understand, I really try to deep dive on the questions you answered already and to get a better understanding of the market and also to have some context. Is it okay for you?

Speaker A: That's fine. Yeah, yeah.

Speaker B: Okay. So the questionnaire shows that APK Group is both trading and processing, but owned growing operations. And you answered 50 to approximately 150 contract growers. So where does the most operational complexity sit in practice?

Speaker A: Crikey, operational complexity. We're vertically integrated supply chain. So we grow seed potatoes. We grow ware potatoes ourselves and then we have a marketing group of growers. So if you think that the seed we produce. Produce goes to our own growing. Goes to our grower base which we then the production of that which is about 160, 170,000 tons a year then goes into three sectors, the crisp sector, the french fry sector and the fresh market sector. Most operational complexity, there's so many different areas, you know to, you know. And you have to have specialisms in all the areas, be it today's operational complexity right now in the heat of dealing with seed potatoes out for planting is stock management, stock control. We know what bulk of seed we bring in to store a harvest last year. But then that has to be split, graded into different size fractions, different stocks to meet with sales plans and growing plants. So there's a big piece of operational complexity in terms of that grading stock management, sales, all that sort of things. A whole degree of operational complexity in growing potatoes from a technical agronomy, you know, having people that specialize in that field and then you know, when we grow the ware potatoes and then we've got 50,000 tonnes of potatoes in cold storages in different parts of the country and the stock management and the allocation of that and the management of the quality, ensuring that the quality in store stays. So this is really complex market to really complex. There's so much to getting potatoes from a seed to a wear crop to the customer within specification when you have to take into account eye appeal and skin finish for the fresh market defects and frying ability for french fries and similar to Chris. So it takes a lot of people and a lot of organization, a lot of good people to do that.

Speaker B: Okay, I don't know if this meeting will end in five minutes but I still have four questions until the next one. So the questionnaire showed that you were using Microsoft Dynamics and it covers most of the supply chain within the APA group, including stock at grower level. But that also copying and transferring information between systems came up as a key problem for your company. So what still sits outside Dynamics and how does that affect the team or the company? So what do you have to do manually?

Speaker A: Yeah, Dynamics really deals with the end piece if you like the accounting. We then have specialist software system that deals with seed stock management. We have a part of Dynamics which has been written bespoke for our business for the trading side. So for the back to back. So buy potatoes from grower X, sell to customer Y, transport, deal with the transaction piece in the middle and produce margin reports. But that's more accounting. So we've then got bespoke systems around quality control, bespoke systems around seed management and stock and seed purchase orders which then get transferred into Dynamics. And then stock management is one that is our next project, how we manage stock that's all done manually at the minute on lots and lots of spreadsheets. And so it's that integration. Now we're quite good at dropping out of Dynamics into spreadsheet for analysis, but loading up into Dynamics from all them other systems, that's not something we've got sorted yet.

Speaker B: Okay, and if we speak about the Brax and how did it impacted your company so in the questionnaire you told that it had a high impact on operations and a moderate impact on reporting and compliance. So what did specifically changed and how did you deal with that?

Speaker A: A big part of our business was the importing grown up potatoes in France and Spain and the importing into the uk, that almost has become no business at all now because costs, administration, you know, used to cost me 50 pounds, so 70 Euros a ton to get potatoes from northern France or Belgium or Holland into the UK. It now probably costs 120 just because of the administration, the paperwork, the lack of transportation, transport, not wanting to come to the uk. And similarly from an export perspective, it's just made it so difficult to do business between. It can be done, but the level of administration and complexity or the risk, It's become very challenging for your company. Yes, old marketplace, our company included, but I would think we probably only do 10 to 15% of the import export volumes today that we did pre Brexit. And then the UK looks to adapt. So instead of importing salad potatoes from France, we now grow more salad potatoes in the uk, which we then store in long term cold storage and things like that. So the market is still there for the product. But I guess from a UK agricultural perspective, you say, say it is better, but from a, from an import export trade perspective, it's made things very, very difficult.

Speaker B: Yeah, it's very difficult to adapt to that.

Speaker A: Yeah, yeah, yeah. From a cost perspective as much as anything, because it just makes it uncompetitive. Yeah, Commercial barrier to trade.

Speaker B: Yeah. You don't know how to answer the answer of the questions you don't want to answer. But from my understanding, who are the biggest competitors in the market? Like you have APK of Akpay Group.

Speaker A: Yeah, yeah. I mean our supply chains are very, sort of a very, very focused retailer specific in the UK and customer specific. So if you deal with Tesco, for example, you probably don't deal with Morrisons, you probably don't deal with Sainsbury, you know, and so there are competitors in the market, but they, I guess all the potato marketing organizations that try to take our growers, try to take the better growers, all the potato marketing, the organizations that try to take our customers. But you know, we're very good at what we do and you know, we have a good position with the customers and we try to grow with them. So there's lots of competitors, similar businesses, but they get less and less because everything in the UK gets in fewer and fewer hands.

Speaker B: Yeah, yeah. So are they using the Same systems for like Microsoft Bespoke or.

Speaker A: Yeah, yeah, I think, I think some have other. Yeah, I know Greenvale, a competitive business, for example, they use Microsoft Dynamics.

Speaker B: Yeah.

Speaker A: Some of the other bigger customers I guess use different. They all use to some degree some form of ERP system. So.

Speaker B: Yeah. So on to the next question. So questionnaire reporting to customers and authorities takes a lot of time. So can you give me a concrete example of what infos and what it cost the team in time? Something labour cost.

Speaker A: But what for.

Speaker B: For reporting to customers and not sorties. So.

Speaker A: Well, we have, yeah, we have specific people that are involved full time in looking after a certain customer or yes, we have an accounts team that look after our report into everything we need to do from a compliance perspective to the authorities. But crikey, yeah, I wouldn't know how to quantify that in terms of, in terms of specific labor time but I mean that is your, you know, your dialogue and your interface with your customers and your interface with your growers and your interface with, you know, that's everybody's day job. I couldn't quantify that in terms of what it particularly costs. I just know that everybody's time is consumed with. So the more you can make those processes efficient, the less people you need involved in them. Yeah, of course, yeah, that's true, that's the solution. And then the more.

Speaker B: So are there any ways to like automate. Automate this to like have an integration within.

Speaker A: Yeah, I mean look, you know, one of the things that we need to do is to get an integrated system to avoid all the double entry, to avoid putting things into

spreadsheets and then taking them from spreadsheets and putting them to the accounts, you know, to go straight into, straight into the, the, the main, the main system. Same as you know, and we, and we are. One thing that we have had a lot of success with over the last year, which we've been doing. We've got some very skilled people in our accounts team who are good at using sort of Google app sheet and building our own systems in Google Apps and that's been a big success for managing our transport business. The interface with our lorry drivers, the, the giving out of instructions of what load to take where and things like that. So bespoke things like that to simplify three lots of paperwork and everything and then that system will actually download for invoicing straight into navision. So we do a lot of work internally on things like that on bespoken systems to our business needs and it's Quite surprising how powerful that's been actually and what a massive, massive cost saving it's been other than buying another Dynamics module from Microsoft. You know, so that is a key thing that we've done in the lab.

Speaker B: So are you familiar with. It's called Business Central. Microsoft Business Central.

Speaker A: Yeah. Yeah.

Speaker B: So I'm doing research on behalf of Axelio Agrio and yeah, we are using Business Central to cover the supply chain. So yeah. So on to the next question. I have two more questions left. So if you can keep up then that would be great for.

Speaker A: Yeah, yeah.

Speaker B: So the questionnaire showed both high workload and frequent errors and pressure on cost margins as the biggest challenges. So can you give me a concrete example of what recently caused a real problem within that company?

Speaker A: Say the question again.

Speaker B: Yeah, I'm sorry. So the questionnaire showed both high workload and frequent errors and pressure on costs and margins as big as challenges. So can you give me an example of this that recently happened within the company? Is there.

Speaker A: Yeah, I mean low poor stock control and then losing, you know, losing track of stocks in store and then losing its quality for its intended market. Yeah, you know that one of the big, that's one of the biggest things. So having good access to all of that data and knowing the data is correct. So not saying you've got 160 tons of a product in a store when you've actually 250, you know, real time data. Real time. Yeah, exactly, exactly. And that's exactly. And having that data managed and analyzed.

Speaker B: Yeah. Is it also something that companies want that the data is also analyzed and maybe some predictions are done based on that information?

Speaker A: Yeah, yeah, yeah.

Speaker B: And why is that? Could you really try to like we're trying to predict based on knowledge we don't really have, but we still have the information.

Speaker A: I think it's about having the base information and making sure that that information is visible to the right people. Yeah, that, that's, that's the main thing thing, you know our business is all about controlling, you know, the unpredictable. You think that between, between, between the top class delivery to a customer against the contract today is €350 a ton and not, not making that contract is €50 a ton. The cost is massive of getting it wrong.

Speaker B: Yeah. Okay, then we go on to the next of the last question. So the questionnaires show that the APK Group select connected with existing systems meeting UK regulations and ease of use as the three most important things for any system to upgrade. So I was wondering what would need to happen for APK Group to start looking at a change and what would make that decision. So what is currently really missing? I think that we already mentioned some of these topics but I really would like to have some information on what are key criteria on deciding this.

Speaker A: Really the key criteria is how does it seamlessly integrate into all what you're already doing. Because there's so many systems out there that you can buy this system to do this, this system to do that. This is about getting those systems to talk and having one specific system but then sometimes that one specific system is too broad and then so the ability to bespoke it to the needs of your business, that's where Microsoft Dynamics, what wasn't a vision before, that's where that was good to be able to be spoken to. And the other thing is about having the skills in your business to be able to utilize it and bespoke it. You know, that's one thing in the agri marketing sector that I guess we're a bit short on is people with those IT skills to take it forward, especially in a small, small business like ours. So, so they're the be, they're the. You know, I almost need a full time. If you could afford it, you almost need a full time systems engineer to streamline. To streamline your systems.

Speaker B: Yeah. So who's really providing Microsoft Bespoke within the sector? Because is there just one company that's providing for almost.

Speaker A: No, it tends to be service. Microsoft partner service providers.

Speaker B: Okay.

Speaker A: So through your it, your IT through your. I think Summer's arrogant in the uk it's getting war through our IT provider. We use, we use a specific Microsoft Gold accredited partner that you know that we're licensed to and they help us with the Bespoken and all that. Yeah.

Speaker B: Okay, well I think I've got a better understanding of like your position within the market and also the market. Are there any topics or maybe questions I didn't, that we didn't really talk about that you want to mention?

Speaker A: No, I think that's good. I think if you, as you're reflecting and writing your report, if there's anything, any specific question, you know, drop me an email, I'll see if I can answer it. I'd be interested to see some of your output at the end of IT and see what you see if you've got any superb recommendations for us.

Speaker B: Yeah, yeah. So who else in the sector would you recommend me to speak to?

Speaker A: McCain in the UK?

Speaker B: Yeah. Most of those companies don't really want to help me or have the time to have a small conversation. I'm also sending them a questionnaire. They don't really respond, so.

Speaker A: Yeah, yeah, yeah. No, I mean, look, you can try the whole list of marketing businesses nationwide. Produce, Branston, potatoes, Greenvale, Albert Bartlett.

Speaker B: Yeah. So maybe a strange question, but would you be willing to introduce me those companies? Because I'm really trying to get in touch with these companies, but yeah, I don't have like the contact information or I don't know really the people to.

Speaker A: Yeah. Have you tried Lamb Weston in Holland?

Speaker B: Yeah, Lamb Weston spoke to them.

Speaker A: Yeah. Did they help you?

Speaker B: Yeah, they did. They did, yeah, they did.

Speaker A: They're one of our biggest customers and they, they're good on things like that. So. Yeah, yeah, let me think about that. Drop me, drop me an email next week and I'll just see if I can find you a contact at like McCain or. A lot of the businesses in our sector are small family businesses like our business and I guess they all struggle with the same things.

Speaker B: Yeah, they seem to have the same problems.

Speaker A: Yeah, yeah, yeah. We're not sophisticated like the big corporates. However we're getting there, you know.

Speaker B: Yeah. The only thing I see missing is like one system that's really integrated for the whole supply chain and.

Speaker A: Yeah.

Speaker B: Don't really have like real time data to.

Speaker A: Yeah, exactly, exactly. Yeah, yeah. And okay, I'll think if there's anybody else I can put you in touch with.

Speaker B: Yeah, I think we're done. And really thank you for the information you provided me with the questionnaire. Send it to you. You already filled it in, but you can send it within the company. I just need like a broader perspective. So if there's someone who can also fill in the questionnaire that would be really grateful for me and I think we're done for now. Thank you for your time and assistance and. Yeah, have a nice day.

Speaker A: Thank you.

Speaker B: Thank you.

Speaker A: Thank you very much. Bye. Bye, bye.

Cygnnet PB (Harley Seed Group) Interview: Breeding, Stock Control, and Brexit Impacts. Alistair Redpath (Director) 16 april

Company Structure & Operations Overview

- Harley Seed Group: third-generation family-owned business centered on cereal seed production and breeding
- Also involved in pea and bean breeding plus marketing under license
- Cygnnet PB operates as four integrated potato business divisions:
 - Breeding program: largest independent breeding program in UK (small by Dutch standards but significant domestically)
 - Produces 80,000-100,000 new varieties annually from true seed
 - Gentec micro propagation facility: one of five UK facilities
 - Serves McCain and variety of other customers beyond Cygnnet PB
 - Growing operations: 450 acres including all breeding plots
 - Export business: largest seed potato exporter from Scotland
 - Handles 28,000-30,000 tonnes annually from Scotland

Potato Breeding Development Process

- Complete variety development cycle: 10-12 years from cross to market introduction
- Primary breeding focus: hot weather tolerant processing varieties rather than fresh market varieties
- McCain funding: 25% of breeding program specifically for long oval French fry and crisping varieties
- Detailed development stages:
 - Year 1: True seed sown in polytunnels, single tuber selection from each plant to field
 - Year 2: Field selection based on shape (crisp vs French fry markets), tuber number, basic characteristics
 - Year 3: Production year to standardize seed sizes for consistent planting
 - Year 4: Cambridge site trials in heart of ware production areas
 - Selection criteria: yield performance, dry matter content, frying quality
 - Year 5: Central Spain trials at 40°C for heat and drought stress testing
 - Tests for misshapes, internal defects, yield maintenance under extreme conditions
 - Selection funnel: 80,000 initial clones reduced to couple hundred after Spain trials

- Advanced stages: replicated trials, multiple site testing, market demonstrations
- Real example: current clone in national list process crossed in 2014, trialing in 2026

Stock Control & Logistics Management

- Contract growing scale: approximately 2,000 hectares across grower network
- Export logistics complexity: 120-125 containers (25 tonnes each) handled per busy week
 - Coordination challenges: container placement on farms, filling, port delivery, vessel loading
- Domestic sales model: primarily wholesale rather than direct-to-farm
 - Process: coordinate dressing instructions to growers, customers arrange uplift
- Stock control identified as “one of the hardest things” and “one of the most important factors”
 - Challenge persists after 35 years of industry experience
 - Accuracy deteriorates through season as conditions change

Software Systems & Technology

- Primary system: Genero (supported by OnInIt company)
 - Integrates with Scottish government MySPUDS database
 - All seed production managed by Scottish government through this system
 - Tracks separate entries for every field: variety, grade, drill numbers
 - Records yields in 1-tonne industry standard boxes (seed size and non-seed size)
- Industry alternatives:
 - Navision: used by Anglico UK, McCain UK, and other major businesses
 - DUG system: developed by Aberdeenshire grower, used by smaller merchants as pure stock database
- System limitations: works well initially but becomes “less and less reliable” as season progresses
 - Stock quality changes and size variations reduce system accuracy
 - Manual updates required from fieldsmen providing daily farm visit feedback

Market Pressures & Demand Disruption

- GLP-1 injection impact: significant consumption reduction from weight management treatments
 - 2.2 million UK population using these treatments
 - Direct correlation: people not eating crisps or French fries
 - Quantified impact: 15-20% reduction in UK crisp contracted growing area
- Geopolitical disruptions affecting operations:
 - Middle East instability: high fertilizer and fuel prices
 - Egypt market contraction: major export destination significantly reduced
 - Iraq operations: shipping difficulties to service crisp factory due to regional instability
- Strategic market diversification: shifting focus from North African markets to South America
 - Described as “competitive process and slow process”
- Market maturity challenge: new varieties substitute rather than add volume
 - Success means replacing older varieties or competitors’ varieties, not market growth

Competition & International Dynamics

- Primary competitors: Dutch and German breeding companies
- HZPC identified as dominant force after acquiring IPM
 - Now “far and away the largest of any of these seed houses”
- Dutch competitive advantages:
 - Government provides superior export support compared to UK
 - “Wherever we go in the world, the Dutch are there first”
 - Practical support includes funding cold storage infrastructure in sub-Saharan Africa
- UK government support assessment: claims to help exports but “level of practical help” significantly inferior to Dutch government assistance

Brexit Impact Analysis

- Immediate market loss: 30,000 tonne European market eliminated overnight
- Asymmetric trade impact: UK prohibited from selling seed potatoes to EU while EU can still supply UK farmers
 - “No positive effects” and “no reciprocal boost in trade”
- Northern Ireland complications: special labeling requirements for traceability

- Ensures no material crosses “non-existent border” into Republic of Ireland/EU
- Significantly more expensive than necessary for Northern Ireland business
- European supplier impact: Dutch, French, and Belgian businesses lost access to Scottish high-grade seed
 - Scotland designated as “high health region” within EU system
- Future outlook: 2027 expected normalization of EU phytosanitary product trading relationships
 - Anticipation of recovering “some of that market back again”

Industry Context & Sustainability Challenges

- Market sustainability defined by sufficient market access rather than environmental factors
- Current season characterized as “not a good season for trading”
- Key operational challenge: “making sure that you sell your last available ton when you can”
- Managing unsold surplus reduction critical in difficult trading conditions
- Industry operates on mature market principles where innovation substitutes rather than expands total volume

Chat with meeting transcript: <https://notes.granola.ai/t/b176ce00-c251-4d0b-80d6-0c4abf804cad>

Samenvatting Ritchie:

Harley Seed Group is volgens de respondent een **derde generatie familiebedrijf** dat zich richt op de productie en veredeling van granenzaad en daarnaast actief is in de veredeling en licentiemarketing van erwten en bonen. Binnen die bredere groep bestaat de aardappeltak uit **vier samenhangende onderdelen**: een veredelingsprogramma, een micropropagatiefaciliteit, eigen teeltactiviteiten en een exporttak. Het veredelingsprogramma is naar eigen zeggen het **grootste onafhankelijke aardappelveredelingsprogramma van het Verenigd Koninkrijk** en brengt jaarlijks circa **80.000 tot 100.000** nieuwe klonen uit true seed voort. De groep beschikt daarnaast over **Gentec**, een van de **vijf micropropagatiefaciliteiten in het VK**, die niet alleen voor de eigen organisatie produceert maar ook voor klanten als **McCain**. Verder teelt het bedrijf ongeveer **450 acres**, inclusief alle eigen verdelingsvelden, en exporteert het als

grootste exporteur van Schotse pootaardappelen jaarlijks ongeveer **28.000 tot 30.000 ton**.

De operationele keten is omvangrijk en sterk afhankelijk van **contracttelers**. Het bedrijf werkt met ongeveer **2.000 hectare pootgoedteelt op contractbasis** en ziet vooral in **stock control** en logistieke afstemming de grootste operationele complexiteit. In drukke weken verwerkt de exporttak ongeveer **120 containers van 25 ton**, afkomstig van verschillende bedrijven, waarbij de coördinatie van containerplaatsing op het erf, het vullen, transport naar de haven en verscheping als bijzonder complex wordt omschreven. In de binnenlandse markt verkoopt het bedrijf hoofdzakelijk **wholesale** in plaats van rechtstreeks aan telers; daarbij ligt de nadruk op het uitzetten van instructies aan telers, waarna klanten de partijen zelf ophalen. Veredeling is een langlopend traject van ongeveer **tien tot twaalf jaar**. De focus ligt vooral op **hittebestendige rassen voor verwerking**, met name voor chips en friet. **25% van het veredelingsprogramma** wordt gefinancierd door McCain, specifiek voor **langovale frietrassen** en rassen voor de chipsmarkt. In de eerste jaren wordt geselecteerd op onder meer **vorm, knolaantal, opbrengst, drogestofgehalte en bakeigenschappen**, waarna materiaal onder andere in **Cambridge** en **centraal Spanje** wordt getest op prestaties onder **hitte- en droogtestress**. Een concreet voorbeeld uit het gesprek is een kloon die in **2014** is gekruist en in **2026** in het **tweede jaar van het nationale toelatingsproces** zit.

Voor de registratie en beheersing van de voorraad gebruikt het bedrijf een **stocks database binnen Genero**, een systeem dat volgens de respondent is gekoppeld aan overheidsdatabronnen. In Schotland wordt pootgoedproductie beheerd via de overheid en moet elk perceel worden ingevoerd in **MySPUDS**, met gegevens per veld over ras, klasse en het aantal ruggen. Ook opbrengsten in **kisten van één ton**, zowel pootgoedmaat als niet-pootgoedmaat, worden daarin vastgelegd. **Genero** wordt binnen het bedrijf gebruikt om deze informatie te verwerken, maar de feitelijke voorraadnauwkeurigheid blijft volgens de respondent afhankelijk van **handmatige terugkoppeling vanuit het veld**. Veldmedewerkers bezoeken dagelijks telers en rapporteren bijvoorbeeld hoeveel ton uit bewaring is gehaald, hoeveel daarvan verkoopbare pootgoedmaat opleverde, hoeveel uitval ontstond en wat terug de opslag in ging. Juist daar ligt een belangrijk informatieprobleem: systemen functioneren goed aan het begin van het seizoen, maar worden **minder betrouwbaar naarmate maten verschuiven, kwaliteit verandert of partijen anders uitvallen dan verwacht**. Volgens de respondent is **realtime en zo nauwkeurig mogelijke voorraadinformatie** een grote wens voor de sector, maar heeft hij in **35 seed crops** nog geen systeem gezien dat dit volledig kan leveren. Binnen het bredere systeemlandschap noemt hij **Navision** als veelgebruikt systeem bij grotere partijen zoals **Agrico UK, McCain UK** en andere bedrijven, terwijl kleinere handelshuizen soms werken met **DUG**, een meer gespecialiseerde voorraadoplossing. **Excel** wordt in het interview **niet expliciet genoemd**; wel blijkt

duidelijk dat **handmatige updates noodzakelijk blijven** en dat volledige automatisering ontbreekt.

De respondent schetst daarnaast een markt die onder druk staat door zowel structurele als externe factoren. Hij noemt de aardappelmarkt een **volwassen markt** waarin nieuwe rassen vooral bestaand volume vervangen in plaats van extra vraag creëren. De grootste duurzaamheidsuitdaging ziet hij niet in bodem of teelttechniek, maar in het **behouden van voldoende afzetmarkt**. Daarbij wijst hij op een volgens hem merkbare impact van **GLP-1-afslankinjecties** in het VK: circa **2,2 miljoen** gebruikers zouden leiden tot lagere consumptie van chips en friet, met een daling van **15 tot 20%** in het gecontracteerde areaal voor de chipsmarkt als gevolg. Daarnaast drukken **geopolitieke spanningen, hogere kunstmestprijzen en hogere brandstofprijzen** op de handel. Belangrijke exportmarkten staan onder druk: **Egypte**, een belangrijke exportmarkt voor Schotland, is sterk gekrompen, en leveringen aan onder meer **Irak** zijn logistiek lastiger door regionale instabiliteit. Het bedrijf probeert daarom de focus deels te verleggen van **Noord-Afrika naar Zuid-Amerika**, maar noemt dat een **langzaam en concurrerend proces**. In concurrentieperspectief ziet de respondent vooral **Nederlandse** en in mindere mate **Duitse veredelingsbedrijven** als de belangrijkste rivalen. **HZPC** noemt hij als grootste speler, mede na de overname van **IPM**. Volgens hem hebben Nederlandse bedrijven bovendien een duidelijk voordeel doordat de **Nederlandse overheid export actief ondersteunt**, bijvoorbeeld met investeringen in infrastructuur zoals **koelopslag in Sub-Sahara Afrika**. Over **Brexit** is hij uitgesproken negatief: volgens hem verdween daardoor van de ene op de andere dag een Europese markt van circa **30.000 ton**, terwijl EU-bedrijven wel pootgoed naar het VK mochten blijven leveren. Ook handel met **Noord-Ierland** werd ingewikkelder en duurder door aanvullende **traceerbaarheids- en labelverplichtingen**. Hij verwacht dat vanaf **2027** de handelsrelatie met de EU op **fyto-sanitair** vlak weer normaler wordt, waardoor mogelijk een deel van die markt teruggewonnen kan worden.

Meeting Title: Cygnet PB (Harley Seed Group) Interview: Breeding, Stock Control, and Brexit Impacts. Alistair Redpath (Director) 16 april

Date: Apr 16

Meeting participants: Ritchieolthuis

Transcript:

Speaker A: Hello, Mr. FPAD.

Speaker B: Hello, Richard.

Speaker A: Can you hear me?

Speaker B: Yeah, can hear you fine.

Speaker A: Oh great. Yeah. So first of all, thank you for attending to this interview. I'm really glad that you are willing to help me.

Speaker B: That's no problem.

Speaker A: Yeah. Should I start with introducing myself?

Speaker B: You can go ahead.

Speaker A: Yeah. My name is Richie. I'm a final year student at the University of Windesheim in the Netherlands. I'm currently conducting research for my graduation thesis in the agri and food sector. And therefore I need to speak to professionals in the sector to get a bit of an understanding and also to validate my research findings. So that's why I reached out to you. And I also would apologize if I come across as unprofessional because I'm a student, I'm still learning. So I hope that you. Yeah, okay, great. And I think this might take 20 or 30 minutes, so.

Speaker B: Okay, just ask what you need.

Speaker A: Yeah, so I prepared some questions and by doing so I hope to have an open conversation so you can answer the question questions and I hope to really get a grasp on the company and also the operations, the supply chain. But I hope this will lead to deeper insight because you already answered the questionnaire and by doing so I hope to get a better understanding. Okay, thank you. So could you tell me something about the company? How does it fit in within the wider group? Because you told me that it is also part of the Alexander Harley Seed group.

Speaker B: Yeah, hardly. Harley Seed groups third generation family owned business centers on cereal seed production and cereal breeding and also involved in pea and

bean breeding and marketing under license for that has four different parts of the potato business. As the breeding program which is the largest independent breeding program in the UK. Very small by Dutch standards, but quite significant. Here we breed around about 80 to 100,000 new varieties a year or true seed a year. We also have a micro propagation facility called Gentec which is one of five micro propagation facilities in the UK and doesn't just grow for Signet, it produces for McCain and a variety of other customers as well. We have our own growing business growing about 450 acres including all our own breeding clothes. And we have an export business that is the largest exporter of seed potatoes from Scotland. So about between 20, typically between about 28 and 30,000 tonnes of seed from Scotland.

Speaker A: Yeah, that's quite a lot. So where does most problems occur in real life? Real life like. So where does the most problems come from?

Speaker B: Problems are different. We grow approximately 2,000 hectares of seed which is all done on contract with growers. So managing the contract grower base and stock control is probably one of the hardest things. And then managing delivery. So in a busy week, Signet pep, which is the export side of the business, will handle somewhere like 120, 25 ton containers from different farms.

Speaker A: Yeah.

Speaker B: So the logistics of getting containers onto farm and getting them filled, getting them to the port and getting them onto a boat is probably one of the hardest things. For domestic sales, it's less of an issue. We sell mostly on a wholesale basis rather than direct to farm. So most of our sales are just coordinating the instructions going out to growers to dress stuff, and then customers are bringing the customer to uplift them.

Speaker A: Okay, yeah. Because in the questionnaire you also answered that you are working with a certain amount of growers. And I got a bit of an understanding of the potato market and how from growing to customer. But I was wondering, how does severity go from breeding all the way through reaching a customer? How does it work in practice for a company like yours? Because you ask, it might be an outlier. But I'm wondering how does it work for a particular York company?

Speaker B: So introducing a new variety probably takes between 10 and 12 years. It starts off we sow our true seed in polytunnels. Then we take one tuber from each of those plants into the field the following year. Then we do a selection based on rudimentary things like shape for different markets. Our primary focus for breeding is hot weather tolerant processing varieties rather than fresh stable varieties. Now. So we select for shape suitable shape for either the crisp market or the french fry market. Currently, 25% of our breeding program is funded by McCain. So we're looking for long oval french fry varieties, but also crisping varieties. So we select on the basis of shape,

tuber number and basic things like that in the field. Year one. Then we have a production year in year two to even out the size of the seeds so that we're using seed size material because in the first generation you can produce very large tubers which are difficult to plant the following year. Then we send stuff into our site at Cambridge, which is based in the heart of the ware production areas. And we select on the basis of yield whether they have a dry matter and whether they fry. So quite basic criteria. The year after that we send them to central Spain and trial them in central Spain. And that's typically an area that's 40 degrees centigrade in a normal summer. So that tests the plants under heat and drought stress.

Speaker A: That's for the quality of the plants.

Speaker B: Yeah. So no misshapes, no internal defects, still got a good yield, that kind of thing. And then by the time we come back after having been to Cambridge in year three and Spain in year four, we're probably down from about 80,000 clones down to maybe a couple hundred.

Speaker A: Okay, yeah.

Speaker B: And then we start testing them in a. In replicated trials down at our Cambridge site. We test them on a second site. When they get a bit more advanced, we multiply them up in Scotland, we introduce them to various market segments through demonstrations and shows and then hopefully we get a variety that gets accepted either onto a supermarket retail list or accepted by a processor.

Speaker A: So it's a long process, not something of like a year or two years. It's also what I've understood. Yeah, yeah.

Speaker B: We have a. We have a clone that is going through the national list process, which is the official process. Yeah, it's in its second year and it was this year, so 2026 and it was crossed in 2014.

Speaker A: Okay. So you need to plan far ahead to do this. But how do you know the stock is available at the. Each grower is certain. The current software also doing this. Like can you see the stock and where it is at each grower?

Speaker B: Not automatically, but our stocks database within that's part of our Genero system that interlinks with various government databases. So all seed production is managed by Scottish government here.

Speaker A: Okay.

Speaker B: And they have a system called MySPUDS into which every field has to be entered. So separate for every field and the number of drills of a particular variety in a particular grade are recorded at that stage. And then the yields in number of boxes we

store in 1 tonne boxes as an industry and the number of boxes of both seed size and non seed size from each individual crop is recorded on the government database.

Speaker A: So is Genereal mainly used in the uk?

Speaker B: I only know of Genero being used by us here in the uk.

Speaker A: Okay, yeah. Because you told me in questionnaire also that the system is handled externally. So I was wondering what kind of systems do people in the UK use? Is it like Excel or Genero or SAP?

Speaker B: We use Genero which is supported by a company called OnInIt. Much, much of the industry uses a system called Navision and so Anglico UK, McCain UK and smile not Smiley Very various businesses use this division system.

Speaker A: Yeah.

Speaker B: And there is a bespoke system that was developed by a grower in Aberdeenshire called Dug D U G and I know several of the smaller merchants use that, but that's more just the pure stocks Database system. So other than the government inputting into our system, We have several fieldsmen that are out on these farms daily and they will feed back. When a grower takes 100 tons of boxes out of store, they will then feed back into the system. How many tons of seed size would have resulted? How many tonnes of waste? Anything that went back into the store? Yeah, so the stocks managed that way.

Speaker A: Okay, so what part of Genero this really works? Well, I assume that people still have to fall back on email or Excel and I was wondering, you're using Genero and what is working really well within the system that's working?

Speaker B: It's like all these systems which. These systems work very well when they start off and you grade 100 tons and you produce 85 tons of seed, 5 tons of undersize, 5 tons of oversize and 5 tons of waste. But once you get further into the season and some sizes change or anything changes or stock quality becomes that are poorer, these things become less and less reliable.

Speaker A: It's quite a big investment, I assume. So that is something that you would like to integrate within the system that is really real life or real time data or as precise as possible. Do I understand that correctly?

Speaker B: That would be a significant benefit to the industry. This is my 35th seed crop and I've never found a way of doing it to absolutely 100%.

Speaker A: Yet is that something that you would change if you can change one thing about the software you're using right now? Or is there something that is even more important to the sector or to your company?

Speaker B: Stock control is always one of the

Speaker A: most important factors, especially in the agri and food sector. Because of the weather and the seasons.

Speaker B: Well, it's not so much seasonal, it's more to do with making sure that you sell your last available ton when you can and managing in a season like this, managing to reduce your unsold surplus? This is not a good season for trading.

Speaker A: That's what I also understand. So what about the biggest pressure in the market right now is that sustainability? And what you already mentioned is that something that is really pressuring the market, not.

Speaker B: Not sustainability per se in terms of soil qualities or agronomics or anything like that. Sustainability in terms of having a very enough market to sail into is the biggest challenge. Part of that challenge is a fundamental shift rather than just a seasonal shift. There's an influence now, certainly perceived to be an influence, but I do think it's genuine from these GPA1 injections that people are using fairly widely to control their weight and suppress their appetite. So we're seeing reductions certainly in the UK here of 20% in volume terms of crisp sales.

Speaker A: Okay.

Speaker B: We're seeing a reduction in French fry

Speaker A: and

Speaker B: chip shop sales. So all. All driven by diet and these fat jobs.

Speaker A: Okay.

Speaker B: Okay.

Speaker A: Could you maybe explain a little bit more further? Because I really try to understand what you're mentioning. This is new for me, so.

Speaker B: Yeah, well, the perception is certainly Here in the UK we have close on 2,2 million of the population who are taking these fat jobs and managing their weight that way. And they are simply. That's 2 million people who have not eaten crisps and not eating French fries. So the volumes contracted area for crisps this year in the UK will reduce by between 15 and 20%. So that's 15 to 20% fewer sales that we're making into the crisp sector. So in terms of sustainability in the short term, that's one of the hardest challenges. We're also seeing the effects of trouble in the Middle east and high fertilizer, high fuel prices. So again, that's going to have an influence on the area growing.

Speaker A: Is it already having a big impact or is it just temporal? For now,

Speaker B: it's hopefully temporary, but it could be, the longer it goes on, who knows? It could be more fundamental, but it is causing a change in relationships. We sell into Israel, for instance, and some of the European countries now are reducing the volume of foreign produce that they take from Israel. Egypt, there's been a massive contraction in the Egyptian industry, which is the main export market from Scotland. So we will sell significantly less volume into Egypt and sell at significantly lower values than we have been doing. We service crisp factory in Iraq. And again, just because of the stability of that region, getting shipping to transport seed potatoes to Iraq is not easy. So we're diversifying. We're now focused more on South America than the North African countries. But that's a competitive process and a slow process.

Speaker A: Yeah. So speaking about the market, if you're not willing to answer this question, it's no problem. But I was wondering, what are the biggest competitors in your space and where do they do things better than you or than the company? If you don't want to answer it, it's no problem.

Speaker B: But I mean, biggest competitors are the Dutch breeding co-operators and to some extent German ones.

Speaker A: Yeah. Who?

Speaker B: Hcpc, who recently expanded by purchasing ipm. Yeah. So they're now far and away the largest of any of these seed houses. And also with the Dutch government is much more supportive of export efforts than the UK government. So we see wherever we go in the world, the Dutch are there first.

Speaker A: Is it also due to Brexit or is it just regulations within the UK that the government's not willing to help you to really expand internationally?

Speaker B: The government, on the face of it, would say that they do try and help exports, but the level of practical help that the Dutch government offers in terms of going into countries in sub Saharan Africa and funding the building of cold stores for seed potatoes and things like that, is far, far superior to anything that the UK government offers UK businesses.

Speaker A: Yeah. So I was wondering, what did the Brexit change the most? Because. Can you hear me, sir? Yeah. Okay. Yeah. So what did the Brexit change the most? How big was the impact of the Brexit on the UK? Is there a slightly impact or just a high, high impact on the UK and maybe within regulations and also the way of working and that you had to anticipate to this?

Speaker B: Yeah, well, overnight it took away a 30,000 ton market, because there was approximately 30,000 tons. It affected European businesses as well, particularly Dutch and French and Belgian businesses. A lot of these businesses took in high grade seed from Scotland, which is designated as a high health region within the EU. So access to

high grade seed became more difficult for European businesses. But overnight it lost the UK business as a 30,000 tonne market. It also made us more difficult logistically to sell into Northern Ireland, but that has been made a little bit easier, but it's still quite difficult and we are very much looking forward to 2027 when our trading relationships with the EU on phytosanitary products will be back to being more normal. So we'll get some of that market back again.

Speaker A: Did it also make a positive impact in some way that the Brexit really helped you to, to do business or maybe within, within the uk?

Speaker B: No, there, there were no positive effects. While, while we were not allowed to sell seed potatoes to the eu, the, the EU was still allowed to continue to supply seed potatoes to our farmers here. So there wasn't any kind of reciprocal boost in trade.

Speaker A: Okay, yeah. So, so where do you feel, still feel it today, the, the Brexit, where does it also bring in some kind of regulations or problems still today? I know that you already mentioned a certain part of it, but I was wondering also, what kind of regulations are UK companies have to ordain to?

Speaker B: Well, as far as me selling seed to EU countries, that's just wholly prohibited. I cannot send seed potatoes to the eu. I can send seed potatoes to Northern Ireland, but I have to have special Northern Ireland designated labels so that the government in Northern Ireland can trace the fact that none of this material is crossing the non existent border into the south and therefore into the eu. So it's very heavily regulated and it's therefore much more expensive for me to do business into Northern Ireland than it needs to be. But I'm not allowed at all to send seed potatoes to the uk.

Speaker A: Yeah. Okay. Okay. So I think we're almost done. Is there anything about your business or work that we haven't mentioned that you would like to tell me about?

Speaker B: I don't know, Richie. Some of the things would be covered in the questionnaires yesterday. The potato market is a mature market. So when somebody like my business produces a new variety and it becomes acceptable to the market, it's not adding volume, it's simply substituting volume. So it will replace either an older variety that's no longer within plant breeders rights or it's replacing another breeder's variety. But we're not adding volume as such, we're just shuffling the pack of cards, if you like.

Speaker A: Yeah. So it's also a kind of competition to have the best type of potato.

Speaker B: Yeah. Both for both from the grower's perspective in terms of pest and disease resistance, but also has to meet the customer specification.

Speaker A: Yeah. Okay. Yeah. Well, thank you for attending to this interview. I think we're done. Is there anyone else within the sector that I should speak to?

Speaker B: Who have you already contacted in the UK or what kind of people?

Speaker A: Yeah, it's mainly traders and processors within the potato and onion market. And already in contact with Ariko Meyer yesterday had a conversation with Lamb Weston.

Speaker B: Right. So it would benefit maybe some more of the actual UK based businesses rather than the. Because the, the interaction with some of the. The Dutch. The UK based offices of the Dutch breeders is different. So they still cannot sell to the eu, but their logistics systems are all based on sending seed to different parts of the world from either Holland or. So they would be quite unusual. What I'll do, I won't do it immediately just because I've got another meeting, Richard. But I will send you a number of email contacts that I think would be receptive to speaking to you.

Speaker A: Okay, I really appreciate that. Thank you.

Speaker B: It might give you more of a UK focus on things.

Speaker A: Yeah. Okay. And maybe if you have some like, sector information or what? Yeah, just feel free to send it to me and if you can help me to get in touch with companies or people, I will appreciate that. And thank you for attending to this interview and answering the questionnaire. I really appreciate it because it really helps me a lot.

Speaker B: That's not a problem. But I will send these to you by email.

Speaker A: Yeah. Okay. Thank you, sir. Thank you. Thank you for your time.

Speaker B: Okay, no problem. You have a good day. Cheers. Now.

Speaker A: Cheers.

G's Growers Interview: ERP System Research Interview for Agricultural Supply Chain with Julius Joel (Group Product Director), 28 april

Company Overview & Operations

- GS Crows operates across 5 countries with £750M total sales
- Onions represent £30M sales (50% UK market share)
 - Run grower cooperative for onions
 - Trade additional 20-30% beyond cooperative
- 11 independent farming operations across countries
 - 95% of salads/vegetables grown in-house
 - One UK operation focuses on potatoes for processing market
- Decentralized philosophy allows regional autonomy

Current IT Systems & Challenges

- UK operations use JD Edwards (25+ years)
 - Spain uses Oracle (implemented 2018 after poor accounting system)
 - Gradual migration from spreadsheets to integrated system
- Key integration gaps:
 - Plant allocation and field location tracking outside JD Edwards
 - Crop forecasting requires manual administration
 - Field harvesting/packing difficult to track as “stock” compared to factory operations
- Custom solutions built:
 - LineView for operational efficiency tracking
 - In-house customs/duty software (£2M investment)
 - Apps for grower communication and data loops
 - Field records platform replacing outdated farming software

Regulatory Requirements & System Priorities

- Must-have features identified:
 - Easy implementation and use
 - Reliability with good support
 - UK regulatory/compliance capabilities
- Key compliance areas:
 - Statutory accounting and financial reporting via JD Edwards
 - Red Tractor, LEAF certification programs (mostly independent of ERP)
 - Carbon footprint calculation using accounts data
 - Food safety/integrity programs

- Brexit impact minimal - continued EU regulation practices
- Philosophy: adapt business processes to standard system rather than heavy customization

G's Growers is een internationaal agrarisch bedrijf actief in **5 landen** met een totale omzet van **£750 miljoen**. De organisatie bestaat uit **11 onafhankelijke farming operations** en hanteert een sterk **gedecentraliseerde filosofie** waarbij regionale autonomie leidend is. Het productportfolio omvat **salades, groenten, uien en aardappelen**; circa **95% van de salades en groenten** wordt in eigen beheer geteeld. **Uien** vertegenwoordigen **£30 miljoen omzet** met een **50% marktaandeel in het VK**; het bedrijf runt hiervoor een **grower cooperative** en verhandelt daarbovenop nog **20-30% extra volume**. Eén UK-operatie richt zich specifiek op **aardappelen voor de verwerkingsmarkt**. Julius Joel is **Group Product Director voor selderij** en verantwoordelijk voor de **Future Farming-divisie**, gericht op regeneratieve landbouw en biodiversiteit.

Het primaire **ERP-systeem in het VK is JD Edwards**, al meer dan **25 jaar** in gebruik; de laatste vier tot vijf jaar is het gebruik van het volledige systeem sterk uitgebreid, waarbij spreadsheets stapsgewijs worden vervangen. **Spanje gebruikt Oracle**, geïmplementeerd in **2018** na een mislukt boekhoudpakket. De gedecentraliseerde groepsfilosofie verklaart het verschil in systemen per land. Binnen JD Edwards vallen **statutory accounting, financiële rapportage en carbon footprint-berekeningen** op basis van boekhouddata. Buiten het systeem vallen echter kritieke processen: **plant allocation, veldlocatietracking, gewasforecasten en het registreren van veldoogst en verpakking als voorraad**. Dit vereist nog steeds **handmatige administratie** en maatwerk-bridging tools. Het bedrijf heeft aanvullend **custom oplossingen** gebouwd: **LineView** voor operationele efficiëntietracking (deels integreerbaar met JD Edwards), **eigen customs/duty-software** (investering van **£2 miljoen**, primair voor Spanje), **apps voor growerscommunicatie en dataverzameling**, en een **veldregistratieplatform** ter vervanging van verouderde farming software. JD Edwards en Oracle worden als "great systems for normal business processes" beschouwd, maar de nuances van een **farming- en packingbedrijf** vereisen aanvullende bridging tools.

De voornaamste **operationele drukfactoren** zijn **stijgende arbeidskosten** en **marktoversupply**. De ambitie is om jaarlijkse loonkosteninflatie te compenseren via efficiëntieverbetering, ondersteund door dagelijkse toegang tot efficiëntiedata via LineView. Op het gebied van **compliance** zijn **Red Tractor en LEAF-certificeringen** grotendeels onafhankelijk van het ERP ingericht, met beperkte data-extractie uit JD Edwards. **Brexit-impact** wordt als minimaal beschouwd; het VK handhaaft grotendeels de EU-regelgevingspraktijken. De voornaamste **ERP-selectiecriteria** zijn: **(1) eenvoudige implementatie en gebruik, (2) betrouwbaarheid met goede support, en (3) UK**

regulatory/compliance-functionaliteit. Integratie met bestaande systemen en kosteneffectiviteit werden bewust **niet** als must-haves geselecteerd, omdat eerdere ervaringen leerden dat te veel maatwerk en integratie contraproductief zijn. De organisatiebrede filosofie is nu om **bedrijfsprocessen aan te passen aan een standaardsysteem** in plaats van zware customisatie. Een systeemwissel zou een **enorme operationele impact** hebben; veiligheid en betrouwbaarheid op de lange termijn zijn doorslaggevend. Specifieke UK-regelgevingsvereisten worden nagevraagd bij de **IT-director**, die ook als vervolgcontact is aangeboden.

System Research Interview for Agricultural Supply Chain with Julius Joel (Group Product Director), 28 april

Date: Apr 28

Meeting participants: Ritchieolthuis

Transcript:

Me: Yep. Okay. So I've prepared some questions based upon the answers you give in the Microsoft forms I made. I'm really glad that you are willing to help me. Do you want me to introduce myself for Yes please, yeah. I'm driving for another 43 Okay. Apparently. So other captain. Or did Yep. But, yes, yes. I I imagine you'll give me a little to yourself be interested to hear about you. Yep. And then perhaps you'll, you know, set up the context for the Christian Jiraffing. Yep. Okay. Yeah. So my name is Richie. I'm a graduation student, and I'm currently researching how Agri and Foods trade in some processes in The UK manage their supply chain. And also their operations. And what they need from their software. So gave me some answers and you told me that you were using a software and I am currently researching what type of software are they using. Is there really one integrated system for the whole supply chain or is there that so this this between that And, yeah, I would like to know I would like to ask you some questions to get a better understanding of the company and also the supply chain you're operating in. And I was wondering whether you could help me because I'm really looking for some mandatory requirements, that are required within the system and in The UK. So is it okay if I ask you some questions to to come to that? Yeah, absolutely. And what I wanna do is if I because I'm not in the IT department. If I can't answer question Yeah. I can just set up a subsequent meeting with Yep. With someone who can. Yep. Okay. Yeah, it's really good deep on the questions you answered before. So I'm really glad that you already filled in the micro forms. If you're not willing or able to answer the questions, that's no problem. Yeah, just tell me what you know and yeah, we will have a conversation about about this company. Okay? Yeah. Yeah. And I'm sorry if I come off as it might be a bit unprofessional. I've prepared some questions, and I hope to have just natural conversation. Yeah. Yeah. Okay. So if I spin this in correctly, work at GS Crows and 90% of what sells and trades for the remaining oh, I'm sorry. So could you tell me something about your role? Within a company? Yes. How much do you know about cheese? Yeah. Not really that much. Because you answered the questions and I'm do interview with multiple companies. So I I know the base the bases, like the answers you gave me in the questionnaire, but not really much on top of that. So, So I'm yeah. So we're we're operating in five countries that we do onions as one of our products. It's an it's one that we have a limited market share in Yep. I think yep. No. I

think we're only 50% of The UK market. Mhmm. We run a we run a grower group. On onions. So we're unlike our other products, the salads Yep. And vegetables, we we grow most of 95% of what we sell Yep. On onions, we trade probably Mhmm. Well, we have a created cooperative that we sell for. And then we probably trade for another 20 or 30%. Yeah. So is it is it primarily focused on leafy greens and onions or also potatoes? We we have one one part of the farming business. We run 11 farming operations. Mhmm. Across the five countries. And one of those operations The UK grows potatoes focused on the on the market as in Yeah. So I got the impression that your kind of research was Mhmm. Was orientated to all patient some potatoes. Is that correct? It's yeah. Correct. It's mainly potatoes and also onions. For processes and also traders. Yeah. But but I saw that your company does also again. So, yeah, It's but it for me, it's it's important to get brother perspective to the world market. Okay. Yep. Okay. So so so I mean, this is about, let's say, 30 millions of sales and our total sales for all of what we do is about 750,000,000. Mhmm. So are you okay if I talk about the whole company or would you like to talk to the rest of you? Yeah. It's it's okay. Just give me the the broader context. That that's really great. Okay. Yeah. Yeah. So, Myra, I have a couple of hats. I'm I'm a group product director for one of our principal products, which is celery. So that's, the kind of strategic delivery and alignment across that salary business Mhmm. Through all the functions from sales all the way back to, you know, production operations. Yep. Technical, etcetera. And then I also have a after some of the co director of our future farming department or division. So we're trying to learn how to how to deliver or how we're we're doing more than learning. We're we're delivering the the advantages of regenerative farming across intensive horticulture. And then I also responsible for kind of coordinating our efforts to increase biodiversity on all our farms. Yep. Okay. And if we talk about the current system you are using for the supply chain, is it GD AdWords? JD Edwards we use in The UK. Yeah. And that's that's kind of probably the biggest single part of the business. Mhmm. And in in Spain, they use Oracle Oracle. Alright. Yep. And we're we're so talking about The UK, we've been we've been on Jane Edwards Friday. Twenty five years or something. Mhmm. And in the last four or five, four maybe, there's been a big M system make more use of the whole JDM system. Yep. So so we're gradually getting stuff off spreadsheets and onto the system. Yeah. Because Yeah. Katie Katie was at a platform. Spine, if you like. Mhmm. And we ran lots of other it's going knees or bespoke software bits around that. Also, some disadvantages that we're now integrating as much as possible into JD Edwards. Spain. Record our record is involved in every part of the business. Yeah. Yeah. So what what's I'm aware of it. And and why is this in in Spain and not not in England? Or UK? Operating, philosophy, if you like, or approach involves involves maximum high level of devolved operation Mhmm. So hence, we have 11 independent farming operations. Yep. So they all row their own boat and do their own thing. And that same mindset has has allowed the Spanish businesses, as a group to do their their own thing individually and collectively. Yep. So Yep. Yep. Yep. Yep. So that's an it's an indication of the group philosophy. Yep. Spain

were in '20 twenty eighteen, I think. Mhmm. So at the 2017, they had a very poor accounting system, so they they restarted from scratch there. Management accounting processes. Yep. And if you talk about your current system, it's JD And in the question, Nary, you told me you the yeah. You rate JD as somewhat satisfied. And I think this is copying between tools and maybe doing things manually is a bottleneck for you. That's what I assume. Yeah. But but but what sits outside the system that is not really connected that that you have to do manually? Less and less. So So so for example, we can we can put the you know, last winter, Mhmm. We could put a let's say January, we could put the summer sales plan Yep. Our sales budget into JD Edwards. Yep. And we could get we could use JD Edwards to convert that into an order for and for the raising of plants. Mhmm. That all flows through is a very straightforward thing. But then we need to administer the process of putting the plants into the ground and allocating the their location, if you're following. Yep. And and making them part of a stock in the ground that we then use to forecast availability. So the process administering them into planted material and then building a forecasting capability from that plant, you may all all has to happen outside of JD Edwards. Yeah. So this is really a gap between what the portal shows and what you actually need to know, from the system. Yeah. Yeah. And then but but as we we can now give it an identity in the ground, that gives us the forecasting capability. And what we're working on is is getting that crop in the ground registered as kind of JDM stock and then getting the data in from a harvest crew geolocated that allows us to on the system, deplete the stock with what the harvesting team we do all our harvesting and packing in the field. Yep. So there's no no factory So so we don't in in a factory, you get to recede your raw material into a coal store. Mhmm. And and then you put it down a line, that's easy to do on the system. Yep. And and then you have goods for sale and some waste. In the field, that's quite awkward to do because it hadn't hadn't become typically, it hasn't become a in stock. Do you know what I mean? Yeah. Yeah. And how do you how do you coordinate with with with, like, your growers? Is it also through the system? Or More and and more, it's the communication is supported by complete administration. Mhmm. What what we're building is apps apps for what for a loop of data that sits outside the system. Yep. Okay. When we talk about operational bottlenecks, because in the questionnaire you filled in that rising labor cost and market oversupply. Came up as the main pressures and could you maybe give me some more context Yeah, sure. Are these the yeah. Are these the biggest rocking? Yeah. I'm sorry? I said you said I said two things. Oversupply and labor. Is that it? Yeah. Rising labor costs and marketing oversupply. Yeah. Yep. Yeah. So we've got an ambition to kind of aspect as it as most produce companies, we've got an ambition to mitigate. Mhmm. The annual inflation in labor costs by improving our efficiency every year. Yep. So so giving giving our colleagues easy and rapid access to the data on efficiency metrics. So it's on a on a daily daily basis. Yep. Is is pretty fundamental. People people are obviously better at managing what's properly measured. And we run we run something called LineView. Mhmm. It just it's a sort of factory operational kind of

tracking efficiency tracking system So it runs SignedView, which gives us some outputs we can which we can we can bring into JDM. Yep. Yep. And so it's mainly focused on reducing costs in Yes. So Or is that something maybe underneath that that's really hard to adapt to I think that IT is a very the software that's that's really helpful for us. Mhmm. In helping our managers and supervisors to to learn about what it takes to make it business more efficient. And and we're using something called LineView, which I'm sure you can look up I don't I I just don't think that's within the the the space that the enterprise such as JD would normally occupy. Mhmm. I don't I don't think they have a I feel like a modular okay for the TLMac Yeah. Front? Yep. And when we talk about compliance and military clients, requirements, I was really wondering not really the Brexit but in The UK for software to operate within The UK. What type of UK regulatory and complier compliance requirements are really must in The UK. So what are non negotiable requirements to have? What it was. Within the software. I gave I don't know if this is the complete answer, but my expectation is, you know, compliance with statutory accounting regulations. Mhmm. A financial reporting. Yep. I would think that's the that's the basement. Yeah. Because is is is is is a reason that you're ready to so high because you told me that that meeting UK require regulatory and compliance requirements are really must haves. And I was wondering because in my previous interviews, they talked about the AFA retractor Is that something that you have to obtain to? Yeah. Is. It is, which we do largely JD Edwards. Mhmm. So so, yeah, I wonder if he gets referenced to Yep. But more importantly, probably, I so I would think that's you know, we have a variety of kind of yeah, environmental or lit programs. Mhmm. Food integrity program. Food safety programs, which which are all just kind of independent of JD Edwards, I think. Yep. But, yeah, possibly, there's data extracted from JD Edwards. Yeah. Okay. To answer some questions. But I think we've structured it to pass over one. Yep. More more interesting facts, what we have had to do is reset our kind of approach to accounting. Mhmm. So that we can use accounts in the calculation, and that's the principal reference point for the calculation of our annual carbon footprint. Yep. Yep. Okay. So group level and by visiting And what about cross border documentation requirements? Because I saw that you're, are operating in also Senegal and other EU countries. So what about cross border documentation? So we've we've spent a couple of million pounds, setting up some software that deals with all you've got duty and customs. Mhmm. Processes. And this is it again. That that is I believe outside JDE that we've had built specific travel purposes Yes. Large for use in Spain. Yes. More in in house software. That you you're seeing yourself. Correct. Yeah. Yeah. And what about again The UK regulatory requirements? Are there any UK regulatory regulatory requirements you have to obtain to or is it because maybe the Brexit had some impact on that? On the regulatory requirements? Yeah, well I think, uh-huh, yeah. We left the EU Mhmm. Yep. But we left the EU supposedly to relieve ourselves of regulation Yeah. But but I think people generally found that EU regulations were quite useful. They're quite good. Because the government just can't say that in order to make the

administration, you know, viable, they said, well, just keep keep doing what we used to do in the EU. Mhmm. So I apart from the customer's challenge of import exports, I think we've largely carried on doing what we did. Before Brexit. Yeah. Mister Das s a s a s s a s s Is this something you have you're familiar with or Because in the previous interviews, they they told me do you have to document with the south side, alpha, the red tractor, and maybe the leaf? Are there are you familiar with those? Yeah. So and then I'm I'm more familiar with the contents of the leaf orbit, for example. Mhmm. I've been through that. All the detail on that, and that's gone. Very little that we would need to access JD Edwardsville. Okay. Well, I can see in the future, it's actually more useful because we're getting we are getting more field records. Farming system farming platform used to use some software called Yep. Anyway, it's become it become increasingly outdated. We're pulling into a and that sits on the side of JPM. Mhmm. And yeah. So in the questionnaire, you answered it easy to use. And implements and reliable with good support and meeting UK regulatory and compliance requirements came up as your must haves. Is there a reason that you selected those three specifically? Could you maybe explain this give me some more context? Yeah. What what what didn't I select then? I'm sorry I don't have it in front of It seems to be integration with existing systems and cost effective effectiveness were not selected. Okay. And this is a really diff difference from most, respondents. So was wondering, well, why why did you select it? Yeah. So so what I was trying to reflect there was that we we do we do have to integrate with existing systems, but we've we've been through we actually installed a JDL to do that second enterprise system, and we we do very well with that first. Okay. Yep. And what we what we learned from doing it twice was that we'd both times and initially with JD Edwards, we tried to make it too bespoke. Mhmm. Too much designed to fit our needs and integrate with everything we already did, etcetera, etcetera. Yep. But then, actually, the the enterprise system some pretty sound business practice, and we can't I can remember, you know, thirty years ago, say, oh, you have a app, is this different? It's not like any other blah blah blah. Actually, of course, our business, you know, business generally have a lot in common so if you get some good system, good process. You know, you want to you want to absorb and embrace the discipline that that the enterprise system brings you. Yep. Yep. So so what we've learned is make make the most of everything the system does and only look for bolt on where you absolutely have to. So it's really I like it. Really important for you to that it is easy to to implement. The system. Yeah. Yeah. Okay. Yeah. Which is which is two sides have to come together. It it it needs actually I think if you say we're going to implement this enterprise system, Mhmm. In its standard format. We're going to modify as many of our processes as we have to to use the standard format. Yep. I change our business to match the format. The implementation and the use of it becomes easier. Yep. Yep. And and what would be absolutely a deal breaker that you say, well well, if this happens or that this can be a real problem, Okay. And what was it? Two answers I gave on that? So Yeah. Sorry. I'm just navigating. So some page of traffic. I don't where

I'm Okay. What would be a deal breaker? Yeah. Yeah. Yep. Yep. Yep. I don't know. I mean, just to I would say we've in both Spain and The UK, we've gone for pretty standard good reputation. Bits of kit that I I don't think we had any we went for the safe territory of knowing these systems work effectively in other companies. Mhmm. I guess there are smaller businesses that might shop around more because they want such a big thing. Yeah. Yeah. Because for me, what about what understand is not really one integrated system for the whole supply chain. And most companies are using multiple systems or excel to to really yeah. Yeah. Yeah. So so is it think it's a buying engine enterprise system. I think it's to account So here's probably the price. Yes. It is. It's fine. Booking the expensive CLM-one systems and then, of course, to stay there. So so you gotta have the initial price and then you can be particularly mindful of one of other kind of annual fees that Mhmm. But you Could you could you I'm sorry. Could could you maybe repeat that because, I didn't didn't hear you. Because you yeah. You're driving traffic, and I really hear what you were saying. So you're negotiating on a purchase cost for the enterprise system. Yep. And then and then you've got the kind of ongoing fees and the maintenance cost, how many people you need, to keep the system functionally updated, etcetera, etcetera. Yep. Yeah. Because I was really wondering what what people in The UK or companies in The UK actually want from a system. And I was wondering what would it take actually for your company for just growers to make a move to something different because what what really what we want is safety, reliability, on a long term basis. Yep. And it would take a huge amount for us a bit. A change in the system. Mhmm. Massive. Is es everything we do, and we've we're still spending money now. On modifying it and to to technologies moving on, so there's more and more. Do kind of of electronically, if you like, because as soon as you make it an electronic day, collection, you can kind of build something around it. Is it is it also the reason that that that you build that that in house Because it was not really integrated in in the whole supply chain or the whole is is that the reason for that? That you have to spend money to to fix the problems that are actually not really meant to be there. I I think that Problem is he's kind of I think it I'm nervous about the use of the word problems because Okay. Yeah. Yeah. About out JD Edwards, Oracle. They're great systems for normal business processes. Yep. But where where where by virtue of being a farming and packing business, do retailers, where they're at nuances that need something else. Mhmm. If it's definitely not possible to do it on Jake Gyad with we'll have to we have to build a bridging tool. Yeah. We have to build a bridging tool. Of course. Yeah. And and yeah. I'm sorry. Go on. So within the sector, are most companies using Oracle or JD Edwards? What what what kind of software do do companies within the sector use? I I don't know the answer to that. I could yeah. Lot lots of companies on our scale are using JDM, which are Oracle. Mhmm. We're not we're not a big company on the world scale. But we're quite a big company in the party's scale. So there are lots for smaller companies. What do we use? What do we use? So, yeah, I guess if you ring if you, for example, if you contact the free produce journal, they'll probably be able to give

you an industry overview or the Fresh Produce Association. I I don't know. Yep. Yep. Okay. And the only thing I'm really is is really important for me to know is the UK government regulations because that's really hard for me to find out because Oh, I company really differed in that and so our yeah. When we talk about your company or the the sector, the broader sector, Can you maybe name some UK government regulations or legal requirements that you have to obtain too? That are really necessary otherwise maybe your business cannot operate within The UK. Is this specific to the IT platform? Software that we've selected. It's it's a may yeah. It's yeah. If you'd like to put that question on me through an email, Yep. Will do so. Well, you I get back to my holiday, I'll pick it up with, IT director. And I'll get you an answer. Okay. Fine. Okay. Thank you, sir. This really helped me. The only thing I was wondering is there maybe anyone within your network that you, would that would be worth speaking to? This research? Yeah. I'll I'll have the IT director who's gonna take a call from me. Yeah. Okay. Okay. That would be great because I'm really looking for for this. Yeah. Sector data and and a broader perspective and getting multiple perspectives on this. And for me, it's really hard to find out because I'm currently, in The Netherlands. I'm researching. So, yeah, to really have the right focus, it's it's hard for me to find the right documents and the right regulations and the right you understand it? Yep. So Am I getting off of that? Okay. Yeah. Alright, Reggie. I really appreciate your conversation. Thank you, sir, for your attendance and filling in your questionnaire. Yeah. I'm sorry. We went I would put it together on team. Yeah. It's no problem. Okay. Do you want me to some share some of the results, afterwards? Or Yeah. That'd be great. Very interested. Thank you. Yep. Okay. Okay. No. But thank you for your conversation, and having a great day today. And good night with you, research, Richie. Thank you. Thank you. Bye bye. Bye bye.

Greens of Soham (Spearhead Potatoes) Interview - ERP System Research Interview for Agricultural Supply Chain with Darren Mackie (Company Director), 22 april

Greens of Soham is een **agrarische holding** met meerdere dochterondernemingen, waaronder **Green Seed International Limited** (pootaardappelen en saladaardappelen), **Spearhead Potatoes** (100.000 ton verwerkte aardappelen), **DCP** (bietenverpakking), **Greens Farming** (bietenteelt, goed voor circa **60% van de Britse rode bietenproductie**) en een **mini tuber-bedrijf in Schotland** voor eerste generatie pootaardappelen. De voornaamste afnemers zijn **Britse retailers**, **PepsiCo** en andere verwerkers. De geïntegreerde ketenstructuur maakt het mogelijk om van teelt tot aflevering te sturen vanuit één organisatie.

Het **ERP-landschap** is opgebouwd rond **Oracle NetSuite**, dat wordt ingezet voor geautomatiseerde verkooporders, inkooporders en facturatie. In 2026 is het **DIG-systeem** geïmplementeerd voor veldmonitoring, laboratoriumcontrole en kwaliteitsbeheer, met uitbreiding naar contractbeheer, dispatch en planning; de doelstelling is een **traceerbaarheidsrespons tijd van 4 minuten**. Ondanks deze systemen blijft **Excel** breed ingezet voor margeberekeningen, veldgrootteplanning en hectareberekeningen op basis van zaaitonnage, wat een sectorbreed fenomeen is dat ook bij ketenpartners speelt. **SharePoint** wordt gebruikt voor voedselveiligheidsdocumentatie en auditbeheer, en er zijn koppelingen met overheidsystemen zoals **MySPUTs** (Schotland) en **APHA** (Engeland).

Brexit had een directe impact op het exportvolume: vóór Brexit bestond de afzet uit **90% UK en 10% EU-export** van pootaardappelen; na Brexit verviel de EU-export volledig door een exportverbod. Het verloren volume werd gecompenseerd door Britse afnemers die voorheen uit de EU importeerden. De operationele impact bleef beperkt; de extra papierwerkvereisten worden via systeemintegratie afgehandeld.

De **koopcriteria** voor nieuwe oplossingen zijn: aantoonbare meerwaarde ten opzichte van bestaande systemen, **kosteneffectiviteit**, betere prestaties bij gelijkblijvende kosten, en **integratie** met Oracle NetSuite en DIG. Een concrete behoefte is **real-time financiële zichtbaarheid**: live P&L-forecasting in plaats van maandelijkse reviews, waarbij de huidige Oracle-dashboards als onvoldoende worden ervaren. Op het gebied van **voedselveiligheid en compliance** worden meerdere audits beheerd (**Leaf, Red Tractor**), waarbij documentatie-updates door een consultant worden uitgevoerd en traceerbaarheid nog grotendeels handmatig via SharePoint en e-mail verloopt; er is interesse in geautomatiseerde traceerbaarheidsfunctionaliteit.

Company Overview & Operations

- Greens of Soham: Parent company with multiple subsidiaries
 - Green Seed International Limited: Seed potatoes and salad potatoes
 - Spearhead Marketing (trading as Spearhead Potatoes): 100,000 tonnes processing potatoes
 - DCP: Beetroot packing operations
 - Greens Farming: Beetroot growing (60% of UK red beetroot production)
 - Mini tuber business in Scotland: First generation seed potatoes
- Major customers: UK retailers, PepsiCo, other processors
- Current structure allows integrated supply chain management

Current Technology Stack & Challenges

- Oracle NetSuite: Automated sales orders, purchase orders, invoicing
- DIG system (newly implemented 2026):
 - Field monitoring, lab monitoring, quality control
 - Expanding to contract management, dispatch, planning
 - Target: 4-minute traceability response time
- Excel-based planning still prevalent:
 - Margin calculations, field size planning
 - Hectare calculations from seed tonnage
 - Industry-wide challenge across supply chain partners
- SharePoint: Food safety documentation and audit management
- Integration with government systems: MySPUTs (Scotland), APHA (England)

Brexit Impact & Market Requirements

- Pre-Brexit: 90% UK supply, 10% EU export
- Post-Brexit: Seed potato export to EU banned
- Replaced lost EU volume with UK customers who couldn't import
- Minimal operational impact - same planning/logistics processes
- Additional paperwork requirements manageable through system integration

System Requirements for New Solutions

- Must demonstrate significant added value over existing systems
- Key criteria:
 - Cost effectiveness (cheaper than current solutions)
 - Better performance at same price point

- Integration with existing Oracle NetSuite and DIG systems
 - Upstream/downstream supply chain integration
- Real-time financial visibility desired:
 - Live P&L forecasting vs monthly reviews
 - Current Oracle dashboards insufficient
 - Bridge gap between financial admin and operational data

Food Safety & Compliance Operations

- Multiple audit requirements: Leaf, Red Tractor, other food safety audits
- Consultant-managed documentation updates and compliance
- Manual traceability process via SharePoint and email
- Opportunity for automated traceability button functionality
- Foreign object incident response currently manual but digitized

Meeting Title: Greens of Soham Interview: ERP System Research Interview for Agricultural Supply Chain with Darren Mackie (Company Director), 22 april

Date: Apr 22

Meeting participants: Ritchieolthuis

Transcript:

Me: That's funny. Okay. So yeah, currently, I'm conducting my graduation research. I'm in my final year. So I'm working for Axelio. Axelio provides an ERP system for the walls of supply chain. So we try to have real time data. And I'm currently looking for The UK market, whether The UK market might be something we are in. And I really try to get a grasp on what UK companies need to help XLEO to provide to the Brexit regulatory needs and also to the to The UK demands. And by doing so I would hope to advise them and also to help the companies to yeah, to do so. Okay. And therefore, I've prepared some questions to really get an understanding of the company. So could you maybe tell me something about Greens of Soham? So Greens of Soham are predominantly producers of seed potatoes Mhmm. Salad potatoes, processing potatoes, We supply most of the major retailers in The UK. Yep. We also specialize in crisp or chipped potatoes, supplying PepsiCo. That's the workers business in The UK, but we also supply other processors as well. Yep. And we also grow ourselves around 60% of The U. K. Red beet root. So we grow beet root as another main crop. And we also have a a mini tumor business that grows the first generation of seed potatoes Mhmm. Which is based up in up in Scotland. Okay. So then where does where in your organization does operational complexity talking about the supply chain mainly arising practice. Is that in stock stock manage yeah. Is that in stock management planning, maybe logistics? Yeah, so we do all of those, all of those things. Mhmm. We I mean the ERP system that you talk about, is that a system which focuses on planning or is it finance or what's also It's like an integrated system for the whole supply chain. It's not really focusing on finance. It's ERP system to really integrate within a company system to, yeah, to full from beginning to end. Yeah. And ja, for my understanding yes. So I mean, there is complexity throughout our business. We have we've made some good strides on ERP with regards to I'll start with finance, but you know, so we use we use Oracle NextSuite and I was on the system. It's really automated the whole sales order, purchase order, invoicing process. So that now works really well. When I consider the planning, work that we do. Mhmm. So so what what varieties, what areas and then which customers should we work with? I would say that our planning phase is still very much focused around Microsoft Excel, which is not that exciting. Yep. But that planning phase still uses Excel quite When we enter delivery, Mhmm. We use we use our system which is called DIG, d I g. DIG system

is really an integrated ER contracts management tool that also allows us to do field monitoring, lab monitoring, quality control. Yep. All delivered all delivered that big system. Yep. So I would say the gap that we have is probably still around that planning phase. But we're looking at how do we further develop the dig to support planning as well? Okay. So the company is mainly using Oracle and also using Excel for manual work you have to do. Yeah. So and where do you experience friction Like, what what kind of manual work do you have to do right now that you preferably want to do it anymore? Okay. I don't know. Yeah. I don't intend this as a sales conversation it's not any commercial objective is just for my graduation research, and you don't have to answer any questions that you're not linked to. Yeah. Yeah. Just to be clear. Yeah. I think for me, there's still sort of margin calculator processes that planning phase still feels a bit clunky and a bit manual. You know, planning drops out into field sizes. We talk about replantable hectares with potatoes. How many hectares do you get from one ton of seed? A lot of that work is still done using density curves and Excel files and production plans that are built on Excel. And I know that that could be better. Yeah. Is it something that is affordable the whole industry that is not an integrated system within the industry? At the moment? No. No. I think I think for that particular piece, we sit down with other parts of the supply chain further upstream or further downstream. And by that, I mean, if I go further upstream I'll be talking to a breeder of new varieties And then if I go further downstream, I may be talking to a processor or a packer. Okay. Someone who is who is further downstream. When I sit down with those businesses and say, okay, let's talk about our planning phase of new Let's talk about our planning phase for volumes going into packers or into processors. They open their spreadsheets. And then I sit there with my spreadsheet Yeah. And we say, okay. You know, how do we how do we make this work? So I I know that it's it's an industry wide challenge, but certainly agriculture in The U. K. Is still managed in Excel. That is the opportunity, isn't it? Because there are still aspects that could be improved And you know having said that, we have made good progress with the system with Oracle NetSuite. We've used a piece of software called Kisan Hub to focus really just on the QC piece and some of our labs as well. So there are ERP systems that are already being deployed, but there are also still gaps as well. Yeah, so do you think there would be demand for any system that is still integrated for the whole I think yeah. I mean, yes, the there is. I would encourage you to look at the dig system which which we are deploying because, you know, adding new if anyone comes to me today and says we have a new ERP supply chain management software that we can integrate with with your existing software. What we are really doing is we are trying to use the big system that we have in place and then just to expand the sort of use case for that. So it goes a little bit further upstream, a little bit further downstream and then effectively using that as the supply management tool. Yep. So, you know, we can see what it's doing today across some aspects, field monitoring, starting to pull in the QC data, We're now saying okay, we'd dig, let's expand that so we can use it for contract management and then ultimately for planning as well.

So I think we already have a a supplier with the dig system And do we need another supplier? Well, we would have to understand how a new system is better than what we're already using. Yeah. So so what's the relationship between Greens of Soham and spearhead potatoes? Is it the same company? Or because it almost And it seems for me to do so. Yeah. Yeah. It it And I think I I know if I you tried to get in touch with me through us segment and Alistair Redpath. Did Alistair spoken to you about business as well. Yep. So I'll I'll talk to you a little bit about the structure of the structure of the company. So So we've got of Storm is our parent company. We have Green Seed International Limited, is the company that does seed potatoes and does salad potatoes. I'm a Director of Green Seeds Then we have Spearhead Marketing. Spearhead Marketing trades to spearhead potatoes, That company is around 100,000 tonnes processing potatoes. And Spearhead is a subsidiary of Beans of Soum. And then we have DCP, which looks after our beetroot packing. That again is a subsidiary. And then we have Greens Farming Greens Farming is the business that grows our beet roots Yeah, okay. So that is the so and I'm a director of a a couple of those And if you were to consider a new improved system, what would be the most important conditions for you? What conditions if we were bringing a system in? Yeah. Yeah. To to bring a system in, it's mainly to understand what what people in The UK really want from a system. Is it for for example, integrated within the existing systems? Or sector specific functionality. Or maybe Brexit any kind of regulations or food regulation. Yeah, so I think for me, we're not you know, we are not too about Brexit in the sense that it's a business that exports seeds. You know, the the potato export is we can't export seeds to to Europe anymore. Mhmm. That was effect banned after Brexit. Mister Aleister also told me that that it yeah. Laska. Right. So so I don't think I think that an ERP system is going to change whether we can deliver potatoes to Europe or not. So, know, there are things that need to happen at government between Brussels and Westminster. To allow that export to happen. And if we are able to export potatoes and we need a planning tool to do that then for me, actually, it is not that different to export a potato from, you know, Yorkshire and England to Lincolnshire in England or to export it from Yorkshire in England to Spain. The processes are still the same. The planning is the same. Logistics, we still need a lorry. Okay. The lorry needs to drive further, but we still need the lorry. All of the planning is pretty much the same. And yes, there is, maybe a little bit more paperwork with phytosanitary you know, these sort of things that need to happen. But again, integration into into systems with load tickets and paperwork being scanned into a system. As long as it does all those things, you know, we need passports in The UK crop certification. We need all of those things to happen in The UK anyway. Yeah. You it's maybe just there's maybe just one or two more pieces of paper that need to be scanned into a system. And when I say scanned, then hopefully, these things are are automated You know, we want our seed certification to be emailed to us from the minister. Want to be able to attach that to assess them digitally without worrying about paper copies. Yeah. So for us, what do we want from ERP systems? We want them to be cheap. We

want them to be efficient. We want them to clearly define which parts of the process are being automated. So how does this add value by taking away maneuvers being used on other systems? Yes. So clearly defines added value. And then the other thing is, yes, it needs to integrate with the other systems that we're currently using followed upstream further downstream. Those are kind of the core aspects of the ERP systems that we're looking for, you know. Yeah. So if I understood correctly, the Brexit hadn't a moderate impact, not not really high impact as in that you're not able to do your core business anymore, but it's important that that the system is integrated with with with the governance like MySPUTs? Is is that something you're looking for? Yeah. So we have mice pits in Scotland. We have the app system in England as well. If we can integrate with those systems, yes, that beneficial. That certainly helps. Just thinking about Brexit, I think it's a sort of qualify some numbers, Before Brexit, we were 90% supplying The U. K. 10% supplying the EU. And there were also some challenges with potatoes being imported from the EU into The Kingdom post Brexit. The boredom is kinda closed in both directions for a while. So we just find for the 10% that we would normally export, we just found a new customer in The U. K. Who couldn't import anymore. And then we basically supplied that customer that that swapped the volume or replaced the volume. Mhmm. And then at that point, we say, okay, that's fine. It feels okay again. Yeah, okay. And I want this to come off as just a sales question. It's for me to understand what The UK really wants and what would make you consider, another system. So if in what condition would you consider switching to a different system then? Because you're already giving context about the integration. Yes. It needs to add significant value the systems that we already have in place. So does it do the same things but does it don't cheaper? Mhmm. So it is it is less cost. Or is it the same price but works better? Yeah. Okay. It's as simple it's as simple as that, you know. There's no reason to complicate that answer. Yeah. Yeah. That's true. Yeah. Because you have to invest invest in the system and you're willing you want the best out of it. Yes. Yeah. Yeah. And speaking about the limitations of your current system, what what kind of limitations do you have besides doing the manual work? Both. I mean, take is is is neutral. So We are using take for the first time in or using Dig for the first time in in 2026. So we're still learning that. System. It is being integrated into the business. Technicians, fields people are all being trained up on the system today. So all of these things are just happening. So it's really difficult for me to say how does our new system not work properly because we're just learning this new this new system. So So it's something that's been introduced to the business this year. To help initially with field reporting for the lab GC work and then we plan to expand that system to contract management to dispatch. At the other end of the system and then as a planning tool as well. So we're in that space already. So I think deploying that system. Know? Yeah. And when we talk about food safety, yeah, for example, quality control or traceability requirements, and how do they affect your day to day operations, and where do they, create the most workload or complexity? So I think there's some complexity around auditing in the business. In the sense that we

have many multiple outage that we need to deal with. So we have leaf parts we have Red Tractor, we have other crude safety orders. Lots of different audits that we have to deal with, so we use auditors, consultants to support that work. We have documentation in the face business that needs to be that documentation needs to be complete. To pass on it. So check for tractors, storage checks, you know, all these other things that need to happen. You know, roading can control, all these other pieces that are built into on it. Yeah. We we have a central system that is currently currently on SharePoint. So there's a lot of digital documentation that needs to be completed for an individual crop. And that is a burden for for doors. But at the minute, that food safety piece is managed through shared files, shared documentation and document control. Yep. With actually a consultant that comes in reads the new audits. If the audits have changed this year, updates our documentation, and then tells us what it needs to look like. From there. Yeah. And and what happens downstream if something in that process is going wrong or delayed? Yes. So we have placeability if those let's say there's a foreign object. So this would be very rare, but but what happens if we deliver a piece of wood to a factory and a load of potatoes. You know, you can have a traceability exercise there. And really, we then need our supply coordinator. We have a person who's responsible for, well, the person who's responsible for breaking the mornings and doing logistics. That supply coordinator would then have to find the traceability documents for that particular field and then share those traceability documents with the factory. The washing records, the grading records, the field records, harvest records, We'd pull them And again, I understand this is not the best system. But today, would go on to SharePoint We would pull those records into an email. We would send that email to the customer and say, look, we apologize for an object. The traceability records for our entire process, And with that example of a foreign object and incident, we would provide a foreign object report. As response to that particular incident as well. So there are elements of that system that are manual effectively, even though it's all done digitally. It is still a manual process. And we are aware of it. If we had a button on an ERP system. Yeah. Then a button on an ERP system that said, complete traceability for this lot number or complete traceability for this field. Mhmm. And then all of those documents just either as an email attachment or we could tell the ERP which email address or which customer to send it to then then that would be a potential opportunity for for an ERP system. Now I would say just to finish that comment, that we are looking at the TEG system providing traceability within four minutes. So we're expecting a big system the targets that we've given the big team is to say that we want ability within four minutes. And why four minutes? Well, that's a really good response time for a customer. Yes. If a customer phones as at 02:00, or sends us an email at 02:00 on a Sunday morning. Mhmm. You know, at four minutes past two, we want all the traceability documents with that customer. Yeah. Yeah. And what information do you wish to you had real time visibility on, but currently, yeah, haven't. It's it's not available. Suppose I'm waiting to say too much I do challenge I do challenge our finance team

sometimes on the the sort of light visibility of profit and loss. Effectively. So we've got monthly management reviews that we would do in the business where we sit down every month with the accounts team. We're giving an update on income and expenses, this is where we're up to. With regard to sales, how how is profitability for the business looking on a monthly basis and then also on a quarterly basis Yeah. It would be fantastic to be able to log in to our system and just say, I know we used some made up numbers, but you know, the business was forecasted to make a million pounds this year. And on the April 21, the forecast is now suggesting we're going to make £900,000. So you would prefer kind of forecasting for the Yeah. Absolutely. Just live, you know, live feedback on this challenge that we have with finance and what does Oracle NetSuite do? Well, I mean, Oracle Next Suite's got some dashboards in it, but I'm not sure the dashboards are telling us the right numbers. So Yeah. So you really need to yeah. I'm sorry? I I always think there's opportunities there to make. Cost of production, current sales forecast to take those numbers. More immediate and live. But I think that's an industry wide challenge challenge, you know. Yeah. So you really try to unstep in the of I'm sorry. To bridge the gap between financial administration and real life data, like agriculture supply chain data. Yes. That's right. Okay. Yeah. I think we are probably done. Thank you for your time and assistance. My main rate check? Yeah. So who else would you recommend me to speak with within the sector? Because I I really try to get in broad and understanding of the of the industry. So or brew up. Yes. So, Richie, I I'm gonna apologize. I I I because my job is very commercial Mhmm. I only really deal with customers. Okay. Through those commercial agreements, my customers don't really allow me to share their contact details. So I'm afraid Yeah. I'm afraid you will have to will have to look elsewhere for other names if that's okay. Yeah. And then mean, that's no problem with just asking and yeah. Yeah. Yeah. Yeah. K. Great. Okay. Well, thank you for your time and assistance then. I've also created a small questionnaire. Normally, I use this to get input because most of the yeah. Most most people really have time to speak with me. Would you be able or willing to share this questionnaire within the company? I'm gathering sort of multiple perspectives on this or is that something that you are not able to do so? I think I would prefer not to do that, Rich. I think that reason I the reason I say that really is just that we are very much in the middle of our planting season. Everyone is everyone is flat out there, and I really want to strike to strike my team. Yeah. Okay. And that's why when I was driving today, I thought that, you know, I've got I've got ten or fifteen minutes Yeah. Of my time to go to you today. So I was quite happy to do that. Yeah, okay. Thank you, sir. Thank you really respect that because, yeah, you're really busy and I really appreciate that you make the time for me to speak with me. And I will send you the results after wards if you want to. Yeah. Please do. Please look forward to. Sure the best we have studies. Okay. Thank you, sir. Thank you. Take care. Thank you. Okay. Have a nice day. Cheers. Cheers. Cheers. Bye.

Lamb Weston (EMEA) Interview - UK supply chain research insights. John Sedgwick (Potato Supply Manager) 15 april

Wed, 15 Apr 26

Lamb Weston UK Operations & Supply Chain

- Potato Supply Manager role: 200,000 tons annually, £52M value, 5% of UK potato crop
- Contract structure: 80-85% contracted growers (10-50 network), 10-15% vertically integrated
- Geographic operations: Scotland for seed sourcing (low virus regions), Wisbech factory location
- Supply chain timeline: 5-year seed cycle, breeding requires additional 10-12 years
- Team: 4-person operation with annual cycle (winter planning, year execution, autumn review)
- Corporate structure: Part of US-listed Lamb Weston since ~3 years ago
 - Previously Lamb Weston Meijer JV (25 years, formed mid-90s with Meijer seed potato family)
 - 6 European factories, 20+ facilities worldwide
 - Based out of Washington state, USA

Technology Systems & Data Management

- SAP as core ERP system: All contracts, volumes, stores, demand planning
 - Links packaging inputs, factory scheduling, production capacity
 - Connects to final product output
 - Deployed globally across Lamb Weston network ("clunky as anything")
- Manual Excel processes: Potato quality details, buying/selling decisions
- Integration challenges: Some double entry required, duplication across systems
- Traceability: Manual inspection of grower reports for compliance
 - Field applications, crop protection protocols, heavy metals monitoring
 - External systems exist (mentioned Daycom in Netherlands) but expensive

Market Conditions & External Factors

- Weather identified as primary uncontrollable challenge affecting 5-year seed planning
- Brexit impact (door shut June 15, 2021): Lost European seed potato sourcing flexibility
 - Required rapid 3-4 month transition to self-reliant supply
 - Positive: Extended access to crop protection (Mancozeb vs Europe)
 - Negative: Reduced potato development, integration challenges with European sister factories
- Recent market cycles volgens de respondent:
 - Crops 2022-23: Very short supply, high potato values due to dry summers/difficult springs
 - Crop 2024: More balanced
 - Crop 2025: Significant worldwide fry production capacity increases
- Global shifts volgens de respondent: China and India now fry exporters (previously importers)
- Current pressures volgens de respondent: Healthy diet trends, reduced consumer spending, government policies creating “perfect storm”

Chat with meeting transcript: <https://notes.granola.ai/t/014f5308-71e9-413d-b7d5-6df034ad7d4a-00best9l>

Samenvatting Ritchie: **Lamb Weston UK** verwerkt aardappelen tot frites en heeft in het VK een fabriek in **Wisbech**. De respondent is **Potato Supply Manager** en is verantwoordelijk voor de inkoop van ongeveer **200.000 ton aardappelen per jaar**, met een waarde van circa **£52 miljoen**. Volgens hem is dat iets meer dan **5% van de Britse aardappeloogst**. De aanvoer komt voor ongeveer **85% uit contractteelt** en voor de rest uit een interne, verticaal geïntegreerde keten. Voor de teelt is het bedrijf afhankelijk van pootgoed uit **Schotland**, waar vanwege de lage virusdruk hoogwaardig uitgangsmateriaal wordt vermeerderd. De respondent geeft aan dat deze keten lang vooruit gepland moet worden: de pootgoedketen loopt ongeveer **vijf jaar**, terwijl veredeling daar nog eens **tien tot twaalf jaar** voor zit. De supplyorganisatie bestaat uit een team van **vier personen** en werkt volgens een vast ritme van planning in de winter, uitvoering tijdens het seizoen en evaluatie in het najaar.

De respondent beschrijft Lamb Weston UK als onderdeel van een groter internationaal concern. De Britse organisatie maakte eerder deel uit van de joint venture **Lamb Weston Meijer**, die volgens hem ongeveer **25 jaar** heeft bestaan, maar is sinds ongeveer **drie jaar** volledig onderdeel van **Lamb Weston**, dat vanuit

de **Verenigde Staten** opereert. Hij noemt daarbij **zes fabrieken in Europa** en nog **meer dan twintig locaties wereldwijd**.

Voor de operatie is **SAP** het centrale systeem. Daarin worden contracten, volumes, voorraden, vraagplanning en koppelingen met verpakkinginput, fabrieksscheduling, productiecapaciteit en productuitstroom beheerd. Tegelijk valt een deel van de operationele informatie buiten SAP. De respondent noemt met name detailinformatie over aardappelkwaliteit, rapportages over aardappelopslag en percelen, en beslissingen rond aan- en verkopen. Die informatie wordt beheerd in **Excel** en in andere, meer specifieke software. Volgens hem leidt dat tot **dubbele invoer** en handmatig werk. Hij geeft aan dat SAP het wereldwijde standaardsysteem binnen Lamb Weston is en dat dit niet snel zal veranderen. Verbetering ziet hij vooral in het verminderen van duplicatie en het beter koppelen van systemen, niet in een volledige vervanging. Daarbij merkt hij expliciet op dat een agronomiesysteem en een supplysysteem volgens hem niet hetzelfde zijn en niet automatisch door één oplossing goed worden afgedekt.

De grootste operationele moeilijkheid is volgens de respondent het **weer**. Omdat de keten meerdere jaren vooruit gepland wordt, hebben natte of droge seizoenen direct invloed op de beschikbaarheid van rassen en op de aansluiting tussen pootgoed, teelt en fabriek. **Klimaatverandering** vergroot volgens hem vooral die variabiliteit. Daarnaast vraagt de operatie veel van registratie en controle rond **traceability**, **voedselveiligheid** en regelgeving. Een deel daarvan zit in systemen, maar veel controles gebeuren nog handmatig. Hij noemt onder meer controles op middelengebruik, veldtoepassingen, protocollen voor gewasbescherming en zware metalen. Externe systemen voor dit soort registraties bestaan volgens hem wel, maar het beheer daarvan is kostbaar.

Over **Brexit** zegt de respondent dat de belangrijkste impact lag in het verlies van flexibiliteit bij de sourcing van **pootaardappelen uit Europa**. Toen die handelsmogelijkheid in **juni 2021** wegviel, moest het bedrijf zich in enkele maanden aanpassen aan een meer zelfvoorzienende aanpak. Voorheen kon het bedrijf pootgoed uit Europa inkopen en doorverkopen aan telers; dat is volgens hem niet meer mogelijk. Hij zegt dat dit de ontwikkeling van de aardappelsector in het VK heeft teruggezet. Als beperkt voordeel noemt hij dat het VK op bepaalde punten langer toegang hield tot specifieke gewasbeschermingsmiddelen, zoals **mancozeb**.

De respondent beschrijft ook veranderingen in de markt. Volgens hem waren de oogsten van **2022** en **2023** krap door droge zomers, moeilijke voorjaren en sterke vraag, waardoor aardappelen duur waren. **2024** was volgens hem meer in balans. Voor **2025** ziet hij juist extra druk doordat wereldwijd meer capaciteit voor **fritesproductie** is bijgekomen, en in mindere mate ook voor chips. Hij noemt daarbij dat **China en India** zich ontwikkelen van importeurs naar exporteurs van frites.

Daarnaast noemt hij bredere druk vanuit consumentengedrag, waaronder gezondere voeding, lagere bestedingen en algemeen economische omstandigheden.

Meeting Title: Lamb Weston - UK supply chain research insights 15 april John Sedgwick (Potato Supply Manager)

Date: Apr 15

Meeting participants: Ritchieolthuis

Transcript:

Speaker A: Good afternoon. Good afternoon.

Speaker B: How are you?

Speaker A: I'm good, thank you. Yourself?

Speaker B: I'm fine, I'm fine.

Speaker A: Harry. Afternoon. I'm quite intrigued because you're obviously based Netherlands.

Speaker B: Yeah, I'm from the Netherlands. Indeed.

Speaker A: And it looks like you're studying in the Netherlands.

Speaker B: Yeah, true, I'm studying in the.

Speaker A: What you're doing. But you're doing a sort of supply chain review here in the uk. Just seems a bit odd.

Speaker B: Yeah, yeah. I'm currently in as we call it commercial economics. It's kind of like marketing type study. Yeah. And I'm studying supply chain. I'm currently conducting my graduation research at Axelio. Axelio provides a software called Agreo and Agrio is covering like the whole supply chain and for my graduation thesis I am conducting interviews to understand the UK market and to learn about the UK marketing. So for processes and traders in the uk. Yeah.

Speaker A: So you had much interest.

Speaker B: I'm sorry?

Speaker A: Have you had many people like me reply?

Speaker B: No, not really. Most of them are really busy or don't really respond to email, LinkedIn or whatsoever so it's quite hard for me to, to reach out.

Speaker A: Yeah, well, yeah, well I don't know how much you know about. You'll not know much about Long Western but yeah, yeah we're all very busy.

Speaker B: Yeah, I understand. I respect your time. So that's why I created also the questionnaire so people can respond to that and just so that I have a quick input from the company. So.

Speaker A: Yep.

Speaker B: Should we start off with.

Speaker A: Yeah, let's go for it mate. See if I can help you out a bit.

Speaker B: Yeah, thank you. So yeah, you, you already completed the questionnaire and would like to get a deeper understanding of your answers and therefore we're doing this, this interview. Yeah, I really would like to understand and take a grasp on the day to day practices Western and also the operations and supply chain. Maybe something about sustainability and regulations from the Brexit.

Speaker A: Okie dokie. Well, yeah, because yeah some of your questions contradict each other a bit so just have a quick read of them because yeah, numbers of suppliers, etc, your two questions contradict each other. They don't run quite concurrently but anyway

Speaker B: it's because the questionnaire is not only for processors, also for traders. So it's a broader perspective.

Speaker A: All I'm saying is if you want credibility. Yeah, that's just giving you a bit of honest feedback mate, that's all.

Speaker B: Yeah, yeah sure that's no problem at all. Thank you for that.

Speaker A: Okay. Yeah so I look after purchasing 200,000 tons of potatoes a year for our Wiz beach factory.

Speaker B: Yeah.

Speaker A: And what you're asking about is probably one of my biggest challenges now. I work for Land Western uk. So we've got the factory that we have here in the UK, but we have got 6 more in Europe and another 20 odd more around the world. We used to work independently as Lamb Weston Maya until about three years ago. So it was sort of a side shoot, the main long Western. But lam Western itself, you know, is is quoted on the US stock market with the only.

Speaker B: Yeah, sorry, but do you mean Maya UK or is a different company?

Speaker A: Maya. No, Maya as in Maya the seed potato guys. Yeah, same family.

Speaker B: Okay.

Speaker A: It's just they formed a JV in the mid-90s with Maya Maya between Meyer and Ian Weston.

Speaker B: Okay.

Speaker A: Ran the JV for 25 years and then wound it up. And we're now just part of the whole. The whole whole Land Western. So, you know, based out of Washington state, across in. Across in the USA. So this is one of the challenges we've got is that we're still probably integrating quite a lot of systems. So if you want to know what our account system runs on and what we join potato stocks and Potato drum, then we have got one system which is SAP.

Speaker B: SAP, yeah,

Speaker A: which is. Don't actually own that. It's my desktop. Tell me. Yeah, so you know, it's one of these big all SAP SE German enterprise software. ERP. Yeah, that's where it is. So that's our, you know, enterprise application software. You know, that's the big one, but it's as clunky as anything.

Speaker B: Yeah.

Speaker A: So that's why you would see a lot of my answers. Everything else that I do day to day is either a bespoke bit of software that gives us access to reports on potato stores and potato fields or good old Excel.

Speaker B: Yeah, a good old Excel. Yeah, yeah. But is your role mainly focused on the supply chain or could you tell me something about your role within the organization and your responsibilities in that case?

Speaker A: Yeah, so I'm potato supply manager.

Speaker B: Okay.

Speaker A: So you don't make chips without a few potatoes. Yeah, so I buy just over 5% of the UK potato crop. 200,000 tons of spuds, 52 million quids worth.

Speaker B: And you indicated that you operate in both England and Scotland. So how do these companies, these independent headquarters work together?

Speaker A: Right. We only have one office in Wisbe, but we supply seed potato sourcing starts in Scotland. So I saw some source all the start of everything that we do. But again it's all run on Excel spreadsheets. It comes out, out of Scotland where, you know, northern Holland is where the stuff. I don't know. How much do you know about potatoes?

Speaker B: About potatoes? I'm just researching the market. So like potatoes. I'm, I'm doing my internship here for like one or two months right now, so. Right. Just the basics. But you could tell me in.

Speaker A: And so see, see potatoes generally starts in one place in a, in regions where it's low virus. So in the UK it starts in the north of Scotland. So that's why we end up in Scotland sourcing high, high grade seed potatoes to then multiply up to then supply to our growers. That's what we do.

Speaker B: That's a process from a couple years. So that's what, what I.

Speaker A: Five years.

Speaker B: Five years.

Speaker A: Five years out. Breeding's another 10 to 12 out from that. We're in a long term business here, mate.

Speaker B: Yeah. And you indicated you work with a network of like 10 to 50 contract growers.

Speaker A: Yeah.

Speaker B: So is it the primary source of your supply?

Speaker A: Yes, yeah, 80-85% of it is all contracted. The rest of it's vertically integrated on. Because we do have a internal supply chain which helps you manage research, etc. But yeah, yeah, they're really predominantly around contract growing and relationships. Potatoes is easy potatoes, people's the difficult bit.

Speaker B: Yes.

Speaker A: And it's. Yeah, if I can, you know, we, we try and do much of it, you know, is, is understanding people's businesses and making it work which doesn't always come through on, on systems, etc.

Speaker B: Okay. And how does the coordination with them work during the season?

Speaker A: Well, I've got a team of four and we, you know, it's all about planning for a kickoff through the winter, execution through the year, review in the autumn and replan and go again.

Speaker B: Okay. So in the questionnaire you also indicated that planning and coordination can be complicated. So where does the present process specifically become difficult or complicated? So where are the inefficiencies? Could you maybe give me an example of this?

Speaker A: Well, it's called the weather.

Speaker B: It's the weather.

Speaker A: Yeah. That's the one thing that we can't control. So as I've just indicated, you've got a seed supply chain that runs five years.

Speaker B: Yeah.

Speaker A: So if we get a wet season, dry season, back to back, etc, then that can then impede your availability of certain varieties of seed which you know, you're trying to, you know, you're trying to align seed with future production plans to match the marketplace. So that's kind of where the inefficiencies and challenges, then ally trying to make sure that you've got a seamless supply chain.

Speaker B: So does climate change also have any impact on that?

Speaker A: Well, it just, it just creates more variability.

Speaker B: More variability. Okay.

Speaker A: Yeah. So what are you going to do with this information, sir?

Speaker B: So I'm currently conducting my graduation thesis. I'm researching the UK market and with this information how to get a broader overview of the companies within the market and to understand like the supply chain of the companies and also get an understanding of how the UK market is about the UK market. Because the company where I'm working on is providing Agriell Agrial is software for like the whole supply chain. So it covers up the whole supply chain and basically it's just one system for everything.

Speaker A: Yeah, well, that's what they try and tell you anyway.

Speaker B: Yeah,

Speaker A: nobody can be an expert at everything, sir.

Speaker B: Yeah, that's true.

Speaker A: That's why you need proper integration between things. An agronomy system isn't the same as a supply system.

Speaker B: Yeah, that's true. Absolutely.

Speaker A: So, but you know, I am a bit different. You know, there's lots of other traders and things work in very, very different ways. So you've got, you know, you've got. Yeah, you've got probably most, you know, I'm probably the most integrated

supply chain of anybody because of the way we contract, etc. Lots of other people are a lot different. Yeah, but how you get into those guys. It's up to you, mate.

Speaker B: Yeah, but you, you indicated you're.

Speaker A: So are the. Is this company already supplying systems out there?

Speaker B: I'm sorry? The system.

Speaker A: The company you're working for.

Speaker B: Yeah.

Speaker A: Are they already live in the marketplace?

Speaker B: Yeah, already, but they're working. Our client or client in the UK is Meijer. Meijer. So which you mentioned, Meyer is a client from us and we're looking to whether the UK markets may be beneficial or like. Yeah. If we could expand to the uk. So that's why I'm researching the uk to get kind of an understanding of the market. Yeah, yeah, but we're like, we have a different kind of companies within Europe, so.

Speaker A: Okey doke.

Speaker B: But you indicated that you were using SAP, but also Excel. What activities are handled in SAP right now and which are managed outside the system? Right.

Speaker A: So the. To all contracts are entered into SAP. So that means that all volumes are. And all volumes in stores are in, in, in SAP. That then links to our demand plans, which then links to packaging inputs, etc. So that's that. And then that's then links to our whole factory running. So, you know, how many hours a day we run, how fast we run, what, what we can produce on a day. And then that links to how the product then exits the factory as, as a sole product. So SAP is the core of what we do as a business, but detail around quality, that sort of thing. On potato quality, there are overviews in SAP of that, but the detail is held without. Out with it. Yeah. Exit managing, need to buys, need to sells. Yeah, we do that on, you know, Excel, etc.

Speaker B: So a lot of manually work.

Speaker A: Yep.

Speaker B: And how does information move between those systems? Because I was wondering, like you have to do then a lot of manually work and there's a lot of time to, to like change everything.

Speaker A: There's quite a bit of. Yeah, there is, there is some double entry. We're trying to knock that out where we can, but then, you know, we use the same system across the entire land. Western.

Speaker B: Okay. Yeah.

Speaker A: So it ain't going to change overnight. So it's. SAP has been widely used there in the UK and, and, and Europe for a while. It's now gone into the States. I don't know whether it's in. I think it's gone into South America, I think it's gone into China and I think it's gone into Australia. So we've pretty well invested in it.

Speaker B: Yeah.

Speaker A: But yeah, the next time. Next time, once we've got everybody on one step, then the next bit will be where else can we knock out duplication? But some of that arises because of the different ways we handle transport, contracting, etc. Yeah.

Speaker B: So for, for just for me. Is SAP also one of the biggest in the UK, as you mentioned?

Speaker A: Couldn't tell you. It's not my area of expertise, mate.

Speaker B: Okay. It's no problem at all.

Speaker A: You, you should know more about that than me since you're in that business. I'm in the potato business. Okay.

Speaker B: Okay. And so you're satisfied with SAP? What makes you satisfied with the system?

Speaker A: It's the system we've got.

Speaker B: Okay. And that's all.

Speaker A: And it's not my area of expertise. My knowledge is around potato supply.

Speaker B: Okay. Okay. Yeah. Because I also saw on LinkedIn that you have kind of a role in sustainability and social and economic environmental processes.

Speaker A: Yeah.

Speaker B: And I was.

Speaker A: Well, we've got, you know, you've got to understand any, any food production system is an extractive system.

Speaker B: Yeah.

Speaker A: You know, no matter how anybody else wants to drive it, it takes water and, and major and mine and macronutrients. To produce crops that we can then as humans eat. But because of what happens thereafter, it's not cyclical. What comes, what, what we take from the fields, we do not return. So we have to, we have to supply in other sources, we have to link into other cycles etc so that we can be as sustainable as in production as we possibly can. Same in the factories, you know, we do use water to produce fries. That's how they moved around the factories, that's how we money, how we manage to manage quality within them. But we then, you know, tidy the water up and, and re. Put it back into this, into the system. But it, you know, trying to make it as cyclical as we can and reduce the use. You reduce overall usage as much as we can. Same with power, whatever. Everything focus is always on, you know, managing waste. Every drop chip is a waste.

Speaker B: Yeah, of course. So you, yeah you, you indicated that regulations such as traceability and food safety creates pressure. So what does this require from your processes and systems on a daily basis? How.

Speaker A: Well, a lot of it, you know, traceability is a big thing and some of that's handled through the system, some of it's external because of the way we manage stores, etc. And also the detail. But legislation's always moving. So, you know, that's why we've, you

Speaker B: know,

Speaker A: have to know what's been applied to crops, etc. That's why we need lots of records of field applications, etc. As have crops being grown. Within regards to protocols for crop protection, are we aware where we are on heavy metals etc, that sort of thing.

Speaker B: So would you demand from a software that this is, this is also integrated into the system like, so you can, how do you say,

Speaker A: we manually check things at the moment there are systems out there, okay, so growers. And it won't matter whether you're in Holland or whether you're in here, you've got growers. There are systems that carry the background, connected to the hse, which is all the approvals, connected to all the labels which then match with the math numbers of products so that they are applied. And they then produce reports which we then manually inspect to make sure that they are done. But that's, you know, because that's quite an expensive operation to manage that side of it. I think there's one Holland of Daycom. I don't know what they have in the rest of Europe. Couldn't tell you.

Speaker B: Yeah. So in Holland we have the noc and the system is also graded with the noc. So we have this kind of integration where you can see those things and also

the regulations and those type of things. But it's also possible for the UK but it's not the same company. So.

Speaker A: Yeah.

Speaker B: And what about Brexit? How does did the Brexit impacted the company? Because you mentioned that it impacted on a moderate level. Could you maybe explain something more about that?

Speaker A: Why do you want to know that?

Speaker B: For me because I was wondering the Brexit. I feel like the Brexit did change the the UK market like for every type of company and not only for the agriculture companies. And I was just wondering whether you the Brexit had an impact on. On processes and traders.

Speaker A: Well it made big the biggest day to day challenge was it reduced the flexibility on sourcing seed potatoes.

Speaker B: Yeah. Outside the UK or also in. In the uk.

Speaker A: Well we we all on we over on the. I don't Nobody really thought that that door would shut.

Speaker B: Yeah.

Speaker A: So when the door shut on 15 June 2021 or ever the date was you know that was it. So we had three pretty. Three or four pretty busy months trying to set ourselves up for. For the next few years and it's probably knocked back potato development because in the UK a little bit and there was especially. Especially when a company like ours it's quite integrated with what's going on in. In. In our system sister factories across in Europe.

Speaker B: So what did changed afterwards? So you had to. To move on and to. To kind of.

Speaker A: Yeah we had to become self reliant historically. We could trade. We could buy seed out of Europe to sell to growers.

Speaker B: And that's not possible anymore.

Speaker A: Nope. Nope. So yeah we have to very rapidly sort ourselves out to supply it. It's had some positives. We've had access to crop protection longer than Europe has on certain active ingredients like Mancaset. So yeah. Pluses and minuses.

Speaker B: Yeah. Okay so what are the pluses in that way?

Speaker A: So yeah Tr. Bigger picture wise I don't you know there would have you know there would have been more inspections and things like that are supposed to be on product coming in but that doesn't fit into my scenario. Maybe.

Speaker B: Okay. Okay. And what about over supply and price pressure like from a competition kind of few.

Speaker A: Well obviously is It a comprehensive lens pr. You know the world has moved on a lot in the last three years.

Speaker B: Yeah.

Speaker A: You know potatoes were you know, two dry summers, difficult springs. So crops twin and strong demand worldwide. Then potato, you know, potatoes in to unlimited production capacity there in especially in fries then and to a degree in crisps. You know potatoes were very short from crops 22 and 23.

Speaker B: Yeah.

Speaker A: So potatoes were worth a lot of money crop 24 more or less in balance 25. A lot of capacity has come on worldwide in regard to fries production. You know and you only need to google some of the information that's out there regarding, you know China and India are now exporters of fries rather than importers. You know that's bringing challenges. You've got healthy diets, you've got people having less money to spend because of the way governments are acting. It's, it's a bit of a perfect storm at the moment.

Speaker B: Yeah.

Speaker A: And exactly. We just have to take it day by day.

Speaker B: Yeah. So there's also external pressure.

Speaker B: Yes. Indeed.

Speaker B: So in the questionnaire you selected several bottlenecks including manual data entry and disconnected systems. Which of these had the biggest impact on your day to day operation?

Speaker A: Well, they all have an impact at various times and it's. You know, any time you have to multi do something twice is a pain, you know, is difficult.

Speaker B: Okay. Thank you for this information and attending to this interview. I see that the time is up, so I will close the interview here. Thank you very much for your time and your input.

Speaker A: Okie dokie. No problems. You take care. Yeah, cheers. Bye.

Speaker B: Thank you again, have a good day.

Speaker A: You too, mate.